7. BUSINESS OVERVIEW

7.1 OUR HISTORY

The history of our Group dates back to 16 August 1999 with the incorporation of MTS Fibromat, our wholly-owned subsidiary, by our Executive Director, Mohd Tarmim Bin Sidek and Noorliza Binti Ahmad (the spouse of Mohd Tarmim Bin Sidek), under the Companies Act 1965 as a private limited company. On the same date, our Managing Director and Chief Executive Officer, Ng Kian Boon, joined MTS Fibromat as a General Manager.

We commenced business in the manufacturing of erosion control blankets using natural fibre, namely paddy straws, from a rented factory in Sekinchan, Selangor ("**Sekinchan Factory**") with a land area of 21,780 sq ft. We also provided hydroseeding services to complement our erosion control blanket products.

On 2 January 2001, Ng Kian Boon was designated as Managing Director and Chief Executive Officer of MTS Fibromat, and later appointed to the board of MTS Fibromat on 20 July 2001. On 19 July 2001, Ng Kian Boon and Wong Teck Ching (a non-related party) became indirect shareholders of MTS Fibromat via subscription of new shares in MTS Fibromat by Containment Engineering Sdn Bhd ("**Containment Engineering**") (i.e. each of them held 50.0% equity interest in Containment Engineering), giving it a shareholding of 30.0% in MTS Fibromat. Mohd Tarmim Bin Sidek and Noorliza Binti Ahmad held the remaining 60.0% and 10.0% equity interest in MTS Fibromat, respectively. After a series of new shares subscription between 2003 and 2007, the shareholdings held by Mohd Tarmim Bin Sidek, Noorliza Binti Ahmad and Containment Engineering changed to 57.1%, 2.9% and 40.0% respectively.

Ng Kian Boon and Wong Teck Ching became direct shareholders of MTS Fibromat on 14 January 2011 via subscription of new shares, giving each of them direct shareholdings of 24.0% in MTS Fibromat, and an indirect shareholding of 20.8% through their shares held in Containment Engineering. The shareholdings of Mohd Tarmim Bin Sidek and Noorliza Binti Ahmad then changed to 29.7% and 1.5% respectively. On even date, Wong Teck Ching was appointed as director of MTS Fibromat and Noorliza Binti Ahmad resigned as director of MTS Fibromat. On 17 December 2014, Mohd Tarmim Bin Sidek transferred his shares in MTS Fibromat (representing 11.2%) to Containment Engineering, resulting in their shareholdings of 18.5% and 32.0% in MTS Fibromat respectively.

On 8 January 2015, Ng Kian Boon and Wong Teck Ching increased their shareholdings in MTS Fibromat to 46.7% and 24.4% respectively via subscription of new shares in MTS Fibromat. The shareholdings of Mohd Tarmim Bin Sidek, Noorliza Binti Ahmad and Containment Engineering in MTS Fibromat were then diluted to 10.3%, 0.8% and 17.8% respectively.

On 1 August 2016, Containment Engineering exited MTS Fibromat by transferring all its shares in MTS Fibromat (representing 17.8%) to Ng Kian Boon and Wong Teck Ching in equal portions. On 21 November 2016, Noorliza Binti Ahmad exited MTS Fibromat by transferring all her shares in MTS Fibromat (representing 0.8%) to Mohd Tarmim Bin Sidek. The shareholdings held by Ng Kian Boon, Mohd Tarmim Bin Sidek and Wong Teck Ching in MTS Fibromat then changed to 55.6%, 11.1% and 33.3% respectively.

Ng Kian Boon further subscribed for new shares in MTS Fibromat in November 2016 and December 2017, increasing his shareholdings to 69.2%. The shareholdings held by Mohd Tarmim Bin Sidek and Wong Teck Ching in MTS Fibromat were diluted to 7.7% and 23.1% respectively. On 6 March 2019, Mohd Tarmim Bin Sidek and Wong Teck Ching transferred their shares in MTS Fibromat (representing 4.7% and 13.1% respectively) to Ng Kian Boon, resulting in their shareholdings of 3.0%, 10.0% and 87.0% in MTS Fibromat respectively.

7. BUSINESS OVERVIEW *(Cont'd)*

On 11 April 2019, we completed the Acquisition of MTS Fibromat from Ng Kian Boon (87.0%), Mohd Tarmim Bin Sidek (3.0%) and Wong Teck Ching (10.0%), and MTS Fibromat became our wholly-owned subsidiary. Wong Teck Ching subsequently resigned as director of MTS Fibromat on 22 August 2019 to pursue his personal interest.

Ng Kian Boon led the continued growth of our business since incorporation, and gradually expanded the range of products and services offered by our Group over the years. On 30 May 2019, our Company was listed on the LEAP Market of Bursa Malaysia.

The table below sets out the business and products expansion of our Group since 1999 when MTS Fibromat was incorporated:

Year	Business and products expansion
1999	• Secured our first orders in 1999 for erosion control blankets and hydroseeding from local construction companies. These orders were made for an infrastructure project in Cameron Highlands (including road projects in surrounding areas such as Simpang Pulai and Gua Musang)
2000	• Commenced manufacturing of a new product, coir logs, to meet different customer requirements, specifically for natural slopes and riverbanks
2002	• Commenced trading of geosynthetics to complement our in-house manufactured products, to offer a wider range of products to our customers
2004	• Due to growing demand, we introduced the use of palm fibre and coconut fibre in our erosion control blankets • Secured our first export sales when we delivered our erosion control blankets to Singapore
2006	• Expanded our product range when we commenced the manufacturing of turf reinforcement mattresses, which was a type of erosion control blanket for river applications
2007	• Secured an order for hydroseeding for slope protection works at Kuala Lumpur-Karak Highway
2008	• Increased our product range and began manufacturing sand filled mattresses as another type of product for river applications
2009	• Commenced manufacturing of geobags, a product that can be used for uneven terrains
2010	• Secured an export order from South Korea for the supply of erosion control blankets • Provided hydroseeding works at Sri Jaya, Pahang and Jabor, Pahang section of the East Coast Highway

7. BUSINESS OVERVIEW *(Cont'd)*

Year	Business and products expansion
2012	• Expanded our product range when we commenced the manufacturing of geocells, a cellular confinement system, arising from the growing market demand for geosynthetics for unvegetated slope • Provided hydroseeding works and the supply of geocell for the fourth lane expansion of North-South Expressway
2013	• Further expanded our product range when we commenced the manufacturing of MSE gabion walls and silt curtains
2014	• Established our in-house laboratory to carry out QC testing on our products from time to time, or upon request by our customers • Embarked on the provision of design and installation services to complement our product offerings • Commenced the manufacturing of green gabion mattresses for river embankment projects • Provided design and installation solutions of green gabion mattresses for a flood mitigation project (i.e. River of Life Phase 2) at Sungai Bunus, Kuala Lumpur • Provided design and installation solutions of retaining wall system for the upgrade of roads in Johor, from Johor Bahru to Pontian and the construction of a flyover at Bandar Baru Kangkar Pulai • Secured export orders from India for the supply of sand filled mattresses • Secured order to supply gabion mattresses for Kuala Lumpur-Kuala Selangor Expressway (LATAR) slope repair works
2015	• Secured an export order from Hong Kong for the supply of silt curtains • Provided design and installation solutions of PVDs for the earthworks at Bandar Cassia Batu Kawan, Seberang Perai, Penang
2016	• Complied with all requirements for the Malaysian Brand Certification Scheme for erosion control products, which was endorsed by SME Corporation Malaysia and SIRIM QAS International Sdn Bhd. The Malaysian Brand Certification Scheme for erosion control products is a brand recognition scheme that aids our Group in enhancing our market outreach. However, as at LPD, our Group does not maintain the Malaysian Brand Certification Scheme for erosion control products as we have obtained the Green Label Certification (ISO 14024 Type I ECO-Labels), as disclosed under Section 7.12.1, which authorises the use of MyHIJAU Mark on our Group's erosion control blankets in recognition of our products meeting local and international environmental standards, providing better recognition for our products

7. BUSINESS OVERVIEW *(Cont'd)*

Year	Business and products expansion
2017	• Provided design and installation solutions of geosynthetic clay liners, woven geotextiles and non-woven geotextiles for the construction and completion of waste reception cells and related infrastructure works at Jeram sanitary landfills, Jeram, Kuala Selangor. This is our Group's largest project secured to-date with a total contract value of RM16.4 million • Provided design and installation solutions of PVDs for the reclamation of Seri Tanjung Pinang (Phase II) development in Penang • Secured orders for the supply of non-woven geotextiles and gabions for the privatisation of Sungai Besi - Ulu Kelang Elevated Expressway (SUKE) project
2018	• Commenced our in-house manufacturing of PVDs
2019	• Provided design and installation solutions of woven geotextiles and non-woven geotextiles for the construction and completion of civil works for Section 7 - Assam Jawa Interchange to Tanjung Karang Interchange (Part 1 of 2) in Selangor
2020	• Provided design and installation solutions of PVDs and non-woven geotextiles for the proposed construction and completion of earthworks and other related works for the development of Phase 2 (R2) at Bandar Bukit Raja 2, Klang, Selangor
2021	• Provided design and installation solutions of PVDs for the construction of Sarawak Second Trunk Road Package B1 – construction of a highway from Sebuyau, Sarawak to Lingga Samarahan and Sri Aman, Sarawak
2022	• Provided design and installation solutions of PVDs and non-woven geotextiles for the earthworks at Aerofront City Housing Development, Selangor
2023	• Provided design and installation solutions for soil nailing works, as well as supply of non-woven geotextiles, gabion mattresses, geogrids, guniting and horizontal drains, for the construction of Central Spine Road, Kelantan
2024	• Provided design and installation solutions for erosion control blankets and hydroseeding for various project packages of the Pan-Borneo Sabah Highway project

Since the commencement of our business in 1999, we have successfully grown and evolved from a geosynthetics and erosion control-based manufacturing company to a Group that provides geotechnical solutions comprising design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/ or biomass products, as well as trading of geosynthetics and erosion control products.

7. BUSINESS OVERVIEW *(Cont'd)*

Our manufacturing facilities have also expanded to commensurate with the higher demand that came on the back of increased product offerings, details of which are as follows:

Year	Manufacturing facility
1999	• Commenced operations in Sekinchan Factory
2003	• Acquired our first property in Rawang, Selangor, an 1½-storey light industrial factory with a land area of 2,196 sq ft ("**First Rawang Factory**")
2005	• Acquired another 1½-storey light industrial factory in Rawang, Selangor with a land area of 2,196 sq ft ("**Second Rawang Factory"**)
2006	• Acquired a parcel of land in Bukit Beruntung, Rawang, Selangor ("**Bukit Beruntung Property**") with a land area of 61,451 sq ft for the construction of Bukit Beruntung Property
2008	• Ceased operations and sale of First Rawang Factory
2009	• Commenced manufacturing operations at Bukit Beruntung Property • Relocated our entire operations from Second Rawang Factory to Bukit Beruntung Property, and subsequently sold our Second Rawang Factory in 2013
2012	• Acquired 2 parcels of adjacent industrial land in Rasa, Selangor, totalling 242,070 sq ft, for the construction of Rasa Factory, 2 3-storey factory and office building with a total built-up area of 137,885 sq ft
2012	• Started renting a 3½-storey shop office in Batu Caves, Selangor as our Batu Caves HQ (i.e. Unit No. 574).
2014	• Rented 2 floors of shop office next to our Batu Caves HQ as our business continued to expand (i.e. Unit No. 573-B and 573-C)
2016	• Ceased operations at Sekinchan Factory
2017	• Commenced manufacturing operations at Rasa Factory • Relocated our entire operations from Bukit Beruntung Property to Rasa Factory, and subsequently sold our Bukit Beruntung Property in 2019 • Acquired Batu Caves HQ (i.e. Unit No. 574)

7. BUSINESS OVERVIEW *(Cont'd)*

7.2 DESCRIPTION OF OUR BUSINESS

Our Group is principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. Our geotechnical solutions comprise design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/ or biomass products. We are also involved in the trading of geosynthetics and erosion control products.

Our geosynthetic solutions are catered for the following applications:

(a) Erosion control

Engineering techniques administered to maintain soil stability, reduce the risk of flood and landslides, prevent damage to infrastructure and properties, protect water quality and preserve natural habitats. Erosion can be caused by natural elements such as wind or water, as well as human activity such as construction, agriculture, deforestation and mining;

(b) Ground improvement

Engineering techniques administered to improve the properties of the soil to increase its strength and load-bearing capacity to withstand the weight on its surface, densify soil to improve soil strength and compactness and to reduce soil settlement (i.e. downward movement of the soil when load is applied on it), decrease permeability of water to reduce soil movement; and

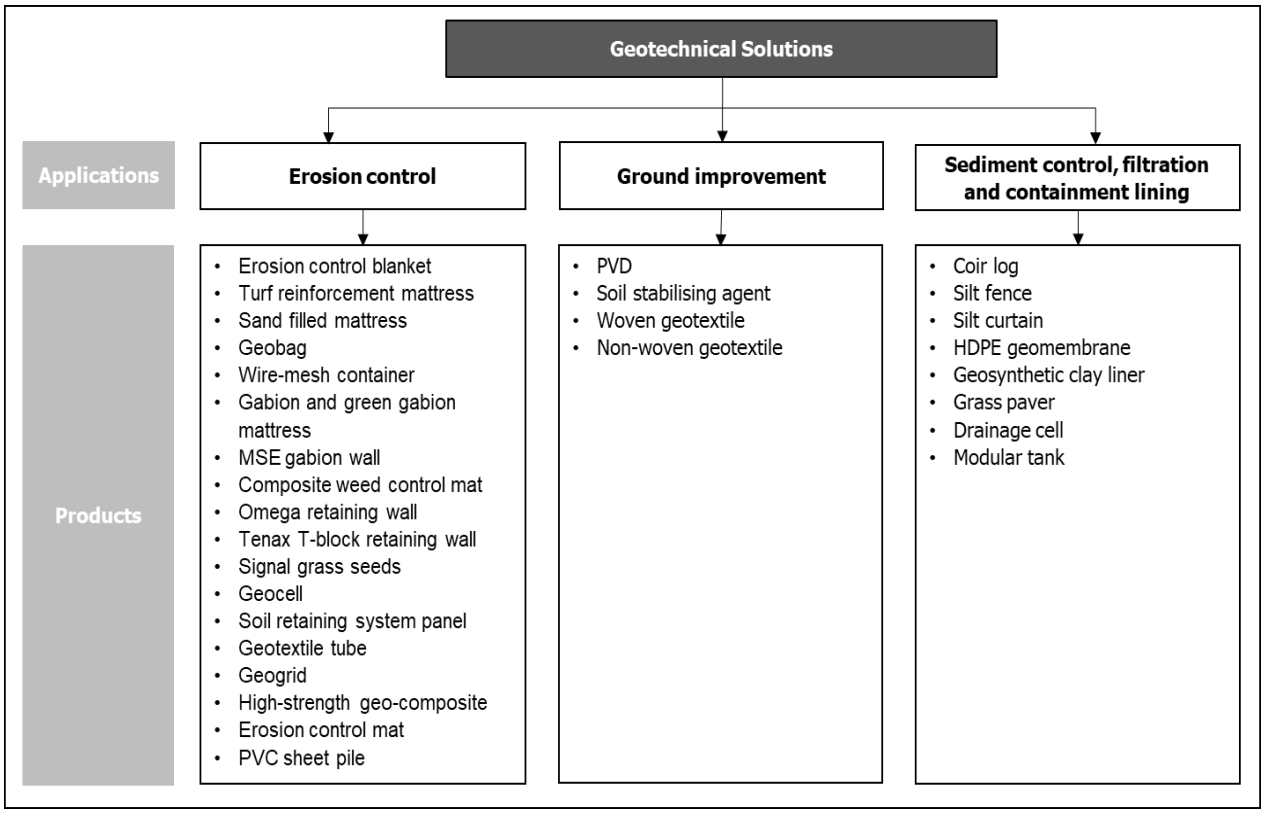
(c) Sediment control, filtration and containment lining

Engineering techniques administered to prevent soil particles and sediment from flowing into bodies of water which causes pollution and flooding, remove suspended particles and contaminants from water as it passes through a filtration medium, and/ or to ensure the integrity and stability of containment structures, landfills, ponds, and reservoirs, and reduces the risk of environmental contamination and groundwater pollution.

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7. BUSINESS OVERVIEW *(Cont'd)*

A summary of the products offered by our Group, by application, are as set out below:



Our Group's geotechnical solutions are used in a diverse range of project types such as projects for residential and commercial development, infrastructure development, land reclamation, road construction, railway construction, soil stabilisation, landscaping, and river and coastal protection.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.2.1 Our business model

Our Group's business model is as detailed below:

Principal business activities	Provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining		
Business segments	Design and installation of geotechnical solutions(1)	Manufacturing and sale of in-house products	Trading of geosynthetics and erosion control products
	Project design works • Assess, propose and plan optimal and cost-effective geotechnical solutions, comprising the integration of suitable geosynthetics, erosion control and/or biomass products for customers. Project installation works • Monitor and supervise the installation of geotechnical solutions at project sites.	• Erosion control blanket • Turf reinforcement mattress • PVD • Coir log • Sand filled mattress • Geobag • Silt fence • Silt curtain • Gabion and green gabion mattress • MSE gabion wall • Composite weed control mat	• Omega retaining wall • Tenax T-block retaining wall • Signal grass seeds • Geocell • Soil retaining system panel • Wire-mesh container • Soil stabilising agent • Woven geotextile • Non-woven geotextile • Geotextile tubes • Geogrid • High strength geo-composite • HDPE geomembrane • Geosynthetic clay liner • Erosion control mat • PVC sheet pile • Grass paver • Drainage cell • Modular tank
Our customers and project type	**Customers**: Contractors and project owners **Project type**: Residential and commercial development, infrastructure development, land reclamation, road construction, railway construction, soil stabilisation, landscaping, and river and coastal protection		
Our operating locations	• Batu Caves HQ - Headquarters • Rasa Factory - Factory, warehouse and office		

Note:

(1) Upon request, we may also provide design and installation solutions for other type of construction works such as pavement works, or geotechnical works such as soil nailing works that do not utilise products that are listed as the products offered by our Group. Supplies required for such works, such as cement and British Reinforcement Concrete ("**BRC**") steel, are commonly used construction supplies and are purchased according to project requirement. We do not keep an inventory for cement and BRC steel.

The approvals of the relevant authorities and/ or certifications for the projects undertaken by our Group are obtained by our customers who appoint qualified persons such as professional engineer or professional architect to submit plans and drawings to the relevant authorities for approval. Once the approvals of the relevant authorities are obtained by our customers' appointed qualified persons, our Group carries out the relevant scope of work according to the specifications as agreed with our customers. Our scope of work, once completed, is required to be certified by our customers' appointed qualified persons who ensure that our construction works are completed according to the approved plans and requirements. In order to facilitate our customers in complying with the approvals of the relevant authorities obtained by their appointed qualified persons, our Group has put in place QC procedures that fulfil the requirements of our customers and our products are in accordance with internationally-recognised standards as detailed in Section 7.12. Further, our Group provides performance bond or guarantee to our customers if specified by our customers in the contract.

7. BUSINESS OVERVIEW *(Cont'd)*

(a) Design and installation of geotechnical solutions

We offer the following services for the implementation of geotechnical solutions:

(i) Project design works

We assess, propose and plan optimal and cost-effective geotechnical solutions, comprising the integration of suitable geosynthetics, erosion control and/ or biomass products for customers. This is based on project requirements and specifications provided by our customers. The products integrated in a project design comprise our in-house manufactured products, products manufactured by our appointed OEM and/ or third-party products which are as described in Section 7.2.2.

(ii) Project installation works

We monitor and supervise the installation of geotechnical solutions at project sites. The engineering and installation works are either carried out by our in-house team or outsourced to third-party subcontractors.

The provision of design and installation of geotechnical solutions allow us to provide end-to-end services that complete the solutions offered to our customers, and to emphasise that we are a specialist engineering company and a solutions provider. We are typically engaged on a project basis to carry out these services.

(b) Manufacturing and sale of in-house products

Our Group manufactures geosynthetics and erosion control products for sale to customers or for use in our projects. Our products are manufactured using:

(i) natural materials;
(ii) synthetic materials; or
(iii) a combination of both natural and synthetic materials.

Natural materials include coconut fibre, palm fibre, paddy straw, sand, soil and rock, amongst others. Natural materials are generally biodegradable and are typically used in applications that require materials to biodegrade to allow for vegetation growth along the ground. Vegetation increases the strength of the soil, thereby contributing to its stability. For example, natural materials are used in erosion control by creating a protective layer over soil surfaces to prevent erosion caused by wind or water; slope stabilisation by anchoring soil particles with roots and reducing the impact of rainfall and surface water flow; and sediment control by trapping sediments and stabilising eroding banks, while allowing water to flow through and support vegetation growth.

Meanwhile, synthetic materials do not biodegrade. Synthetic materials such as polypropylene, polyester, polyethylene and PVC, are polymers or hydrocarbon chains that are derived from petrochemicals, which are by products of crude oil refining. Geosynthetics manufactured using synthetic materials are suitable for a variety of applications due to its durability, resistance to chemical degradation and ability to withstand extreme conditions. For example, geosynthetics are used in civil engineering for erosion control, soil stabilisation, reinforcement of embankments, retaining walls and slope protection; environmental engineering to prevent contamination of soil and groundwater by hazardous waste materials; coastal and marine engineering for shoreline stabilisation, and construction of seawalls and breakwaters for erosion control; and in water resource management to manage water flow, prevent sedimentation and protect aquatic ecosystems.

Further details of the abovementioned products are set out in Section 7.2.2(a).

7. BUSINESS OVERVIEW *(Cont'd)*

(c) Trading of geosynthetics and erosion control products

We engage OEM in Malaysia to manufacture retaining walls according to our specifications and requirements. Further details on the products manufactured by our appointed OEMs are as set out in Section 7.2.2(b). For FYE 2021 to 2024, we engaged one OEM for the manufacturing of retaining walls. Our mode of purchase from the OEM supplier is based on credit term and there is no minimum order quantity required for each order.

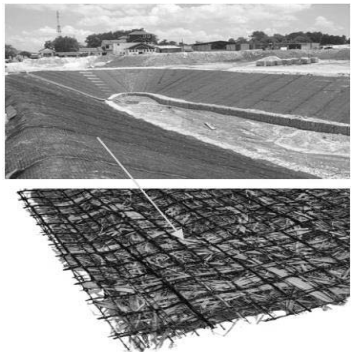
Further, we also purchase geosynthetics and erosion control products from third-party suppliers for onward sale to our customers. We source these products from our suppliers, locally and overseas. Further details on the geosynthetics and erosion control products sourced from third-party suppliers are as set out in Section 7.2.2(c).

We trade geosynthetics and erosion control products to complement our in-house manufactured products to offer a wider range of products to the market.

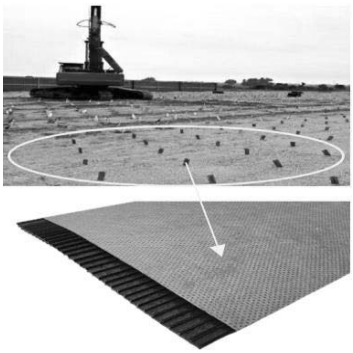
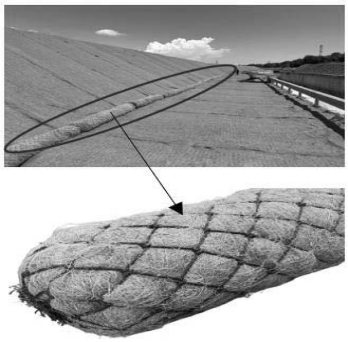
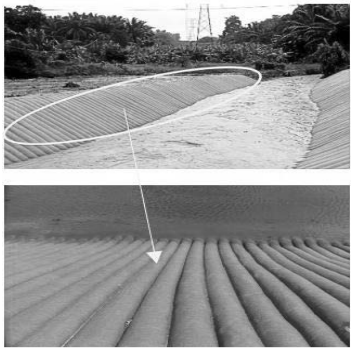
7.2.2 Our products range

(a) In-house manufactured products

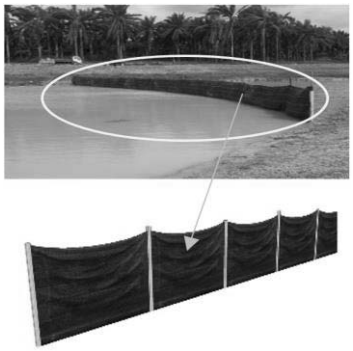
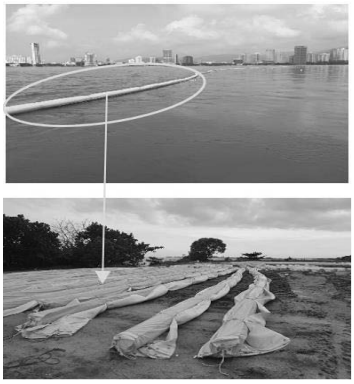
The range of products which we manufacture in-house are as detailed below:

No.	Product	Description
(i)	Erosion control blanket 	• Erosion control blankets are manufactured from natural straw and fibres which are stitched together using biodegradable threads and a double layer of photodegradable polypropylene netting. • Erosion control blankets are installed on slopes to reduce soil erosion and surface wash-offs. It also allows for reinforced vegetation through hydroseeding processes.
(ii)	Turf reinforcement mattress 	• Turf reinforcement mattresses are manufactured from coconut fibres which are stitched together using UV-stabilised polypropylene netting to produce a flexible, lightweight mattress. • Turf reinforcement mattresses are installed on slopes, drainage channels and shorelines to reduce soil erosion and sediment run-off into rivers. Turf reinforcement mattresses' drainage properties also allow for vegetation growth.

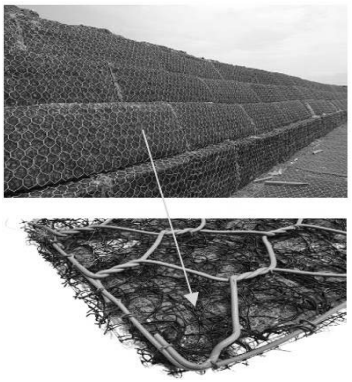
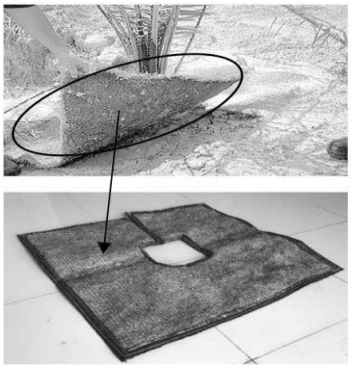
7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(iii)	PVD 	• PVDs are manufactured from a polypropylene or high-density polyethylene core wrapped with a layer of non-woven geotextile. • PVDs are installed in soft ground for ground improvement purposes by quickening the consolidation of soft ground thereby reducing construction time and cost.
(iv)	Coir log 	• Coir logs are manufactured from compressed biodegradable coconut fibres which are enclosed in a polyethylene netting. • Coir logs are installed on riverbanks and slope terraces to promote stabilisation of embankments and terraces, and control sediments from run-off or flowing into the river. It also enhances vegetation as a temporary root support system for plants.
(v)	Sand filled mattress 	• Sand filled mattresses are made of woven geotextile which are filled with sand. • Sand filled mattresses are installed on slopes which are in contact with water (i.e. riverbanks, waterways, canals) to reduce soil erosion caused by waves. Sand filled mattresses also allow for vegetation growth.
(vi)	Geobag 	• Geobags are made of woven or non-woven geotextiles that are filled with sand. Geobags may also be added with a protection layer for further protection against UV and vandalism. Geobags could be stacked or laid side-by-side with other geobags to form a larger surface. • Geobags are typically installed on slopes, riverbanks and coastlines to protect the slope and reduce soil erosion. Geobags' durability and flexibility to conform to uneven terrain allows it to act as a retaining wall system. The drainage properties of geobags also allow for vegetation growth.

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(vii)	Silt fence 	• Silt fences are made of geotextile filter fabric that are attached to supporting poles which are embedded to the ground. • Silt fences are typically installed at construction sites to prevent sediment-laden water and surface run-off from leaking into and/ or out of the construction site.
(viii)	Silt curtain 	• Silt curtains are made of polyester woven geotextiles, and are installed in water, especially during river and coastal construction, to prevent the spread of environmental containments. The durability and secure structure of silt curtains enables it to withstand tides, waves and wind.
(ix)	Gabion and green gabion mattress 	• Gabions are PVC-coated zinc wire-mesh containers that are filled with rocks. The wire-mesh are triple-twisted into hexagonal mesh forms which does not unravel when cut. Gabions can be stacked and tied up with other gabions to form a larger single structure. • Gabions are installed on slopes and riverbanks to reduce soil erosion and prevent landslides, while its high-tensile strength and structural rigidity allows it to act as a retaining wall system. The drainage properties of gabions also allow for vegetation growth. • Green gabion mattresses are similar to gabions. However, green gabion mattresses are not rigid and consist of a single flat surface that is used as a base for slope protection and is usually used together with erosion control blanket or turf reinforcement mattress. Green gabion mattresses are typically used to maximise vegetation.

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(x)	MSE gabion wall 	• MSE gabions are PVC-coated zinc wire-mesh containers that are filled with stones and are usually used with erosion control mats and erosion control blankets, vegetation layer and positioning brackets. Gabions can be stacked and tied up with other gabions to form a larger single structure. • MSE gabions are typically installed on riverbanks to reduce soil erosion and prevent landslides. The high-tensile strength and structural rigidity of MSE gabions allows it to act as a retaining wall system. Further, the vegetation layer and drainage properties of MSE gabions also encourage vegetation growth.
(xi)	Composite weed control mat 	• Composite weed control mats are mats made of photo-degradable netting, natural palm fibre and woven polypropylene fabric. • Weed control mats are typically installed to control weed growth that disrupts crop yield. The natural fibre of the weed control mat also provides nutrients for the crop. In addition, the mat prevents fertiliser from being washed off during heavy rain, thus providing significant cost savings to plantation owners.

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7. BUSINESS OVERVIEW *(Cont'd)*

(b) OEM products

The range of products manufactured by our appointed OEMs are as detailed below:

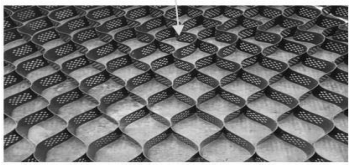
No.	Product	Description
(i)	Omega retaining wall 	• Omega retaining wall is an integrated concrete segmental retaining wall system, consisting of interlocking concrete omega blocks which are stacked together. • Omega retaining walls are installed on slopes to prevent soil erosion and strengthen the slope, as well as a retaining wall system which enable maximisation of land space.
(ii)	Tenax T-block retaining wall 	• Tenax T-block retaining wall consists of prefabricated concrete blocks which are stacked together using geogrids as reinforcement. • Tenax T-block retaining walls are installed on the ground and slopes and by riverbeds to reduce soil erosion and strengthen the slope, as well as a retaining wall system to support a large surcharge load.

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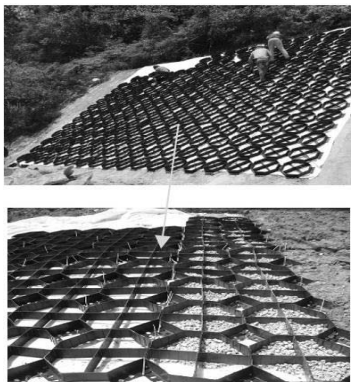
7. BUSINESS OVERVIEW *(Cont'd)*

(c) Third-party products

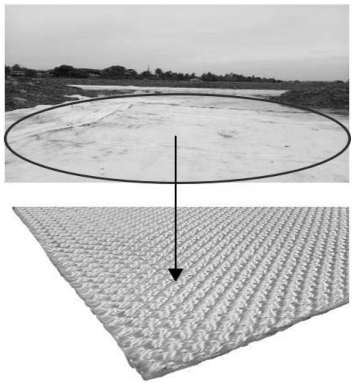
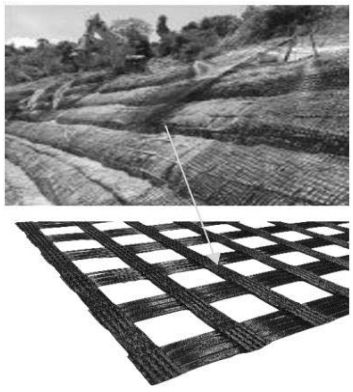
The range of products which we source from third-party suppliers are as detailed below:

No.	Product	Description
(i)	Signal grass seeds (*Brachiaria decumbens seed*)  	• Signal grass seeds are used in the planting process of both hydroseeding and hydromulching. • Hydroseeding is a planting process that uses a combination of fertilisers, slurry, seeds and mulch. This process is a complementary application for use with erosion control blankets for vegetation growth. This process is effective, installation-friendly and has deeper roots as compared to conventional planting process. Hydroseeding is usually applied on newly cut slopes or to repair soil. • Hydromulching is a planting process that uses a special mixture of slurry, seeds and mulching materials for higher germination and growth establishment on slope as compared to hydroseeding. Hydromulching is usually applied on bare slopes containing hard material and/ or oxidised soil where there is no proper medium for growth.
(ii)	Geocell  	• Geocells are manufactured from HDPE to produce a strong, expandable and lightweight honeycomb design product that is filled with soil, sand, and/ or stones, known as the infill. The honeycomb shape of geocells allows for the infill to be confined within its cell structure, thereby preventing the infill from being washed off. • Geocells are installed on slopes to reduce soil erosion and increase stability. Geocells are commonly used on acidic or rocky slopes to achieve vegetation growth.

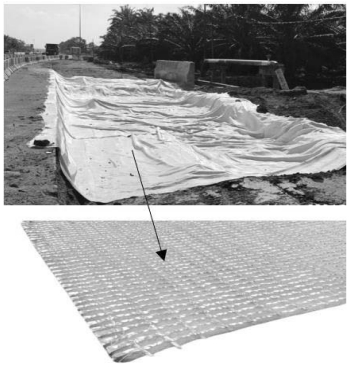
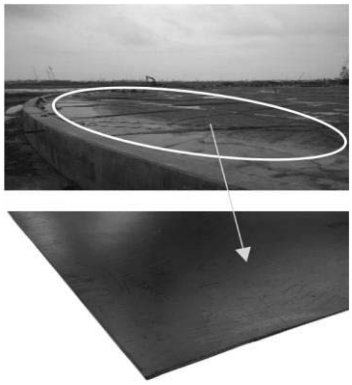
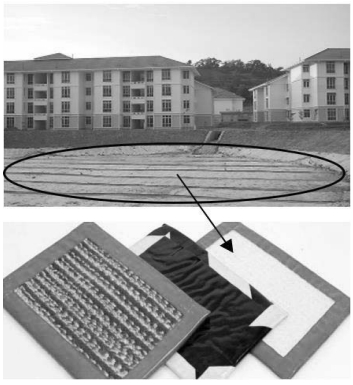
7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(iii)	Soil retaining system panel 	• Soil retaining system panel is manufactured from UV-stabilised polypropylene to produce a lightweight and durable octagonal-shaped product. Soil retaining system panel has interlocking designs which enables it to be linked together to form a larger single structure. The octagonal shape of the soil retaining system panel allows for the soil to be confined, thereby limiting the movement of soil, while its structural strength and durability allows it to withstand high surface loading capacity. • Soil retaining system panel is usually installed on slopes to reduce soil erosion and reinforce the surface. It also provides growing medium which allows for vegetation growth.
(iv)	Wire-mesh container 	• Wire-mesh containers are lightweight, flexible and foldable wire-mesh containers that are filled with stones. Wire-mesh containers can be stacked and welded with other wire-mesh containers to form a larger single structure. The high-tensile strength and anti-impact capability of wire-mesh containers allow it to withstand strong water current flow. • Wire-mesh containers are typically installed on riverbanks and coastlines to serve as flood mitigation or embankment protection system by diverting or blocking water flow with the infilled materials, to reduce soil erosion. Wire-mesh containers also allows for vegetation growth.
(v)	Soil stabilising agent 	• Soil stabilising agent is a chemical bonding agent that is added into the soil to improve the strength of the soil by modifying the properties of the soil. • Soil stabilising agent is typically used in soft ground, especially in rural areas and areas which require high-load capacity (such as airport runways, highways and high traffic roads). Soil stabilising agent is used for ground improvement purposes by increasing the strength and stability of the road.

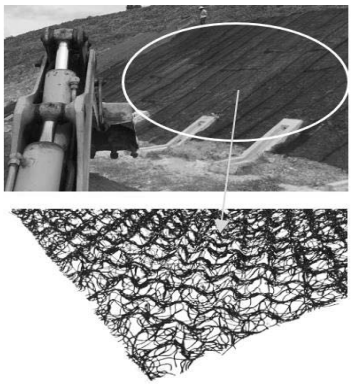
7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(vi)	Woven geotextile 	• Woven geotextiles are manufactured from polyester and polypropylene which are woven together to produce a high strength and low elongation fabric. • Woven geotextiles are installed on ground as a separator to prevent the mixing of materials and as a reinforcement layer to prevent differential settlement for ground improvement purposes.
(vii)	Non-woven geotextile 	• Non-woven geotextiles are manufactured from polyester and polypropylene fibres which are needle-punched to produce a strong, flexible fabric. • Non-woven geotextiles are versatile and can be installed in many places (i.e. above and below ground) as a filter to allow for water drainage, as a separator to prevent the mixing of materials and as a reinforcement layer to improve soil stability for ground improvement purposes.
(viii)	Geotextile tubes 	• Geotextile tubes are manufactured from high-strength woven geotextiles to form a cylindrical-shaped product and are typically installed with a scour apron as a breakwater, dewatering or coastal protection system.
(ix)	Geogrid 	• Geogrids are manufactured from polymer-coated plastic polyester yarns to produce flexible, high-tensile strength meshes and straps. • Geogrids are installed on slopes as a retaining wall system to prevent soil erosion.

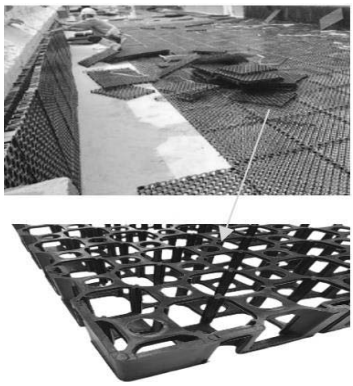
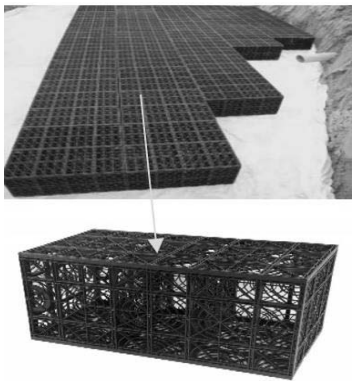
7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(x)	High-strength geo-composite 	• High-strength geo-composites are manufactured from high-strength polyester yarns knitted with polyester or polypropylene needle-punched non-woven geotextiles. • High-strength geo-composites are installed at retaining walls or under embankments.
(xi)	HDPE geomembrane 	• HDPE geomembranes are manufactured from HDPE and are typically installed as liners for ponds and tanks to prevent contaminants from seeping into and out of the ponds or tanks.
(xii)	Geosynthetic clay liner 	• Geosynthetic clay liners consist of 2 layers of geotextile filled with sodium bentonite in between and needle-punched together to form a thick layer of composite blanket. • Geosynthetic clay liners are typically installed as a lining for landfills to prevent contaminants from seeping into the ground. Geosynthetic clay liners can also be installed as a cover for groundwater protection and lining for ponds, to prevent seepage of liquid from either sides of the liner.

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(xiii)	Erosion control mat 	• Erosion control mats are a flexible, lightweight 3-dimensional polymer mat. • Erosion control mats are installed on slopes to reduce soil erosion and surface run-off and promote vegetation growth.
(xiv)	PVC sheet pile 	• PVC sheet piles are manufactured from PVC and are used as an alternative to steel sheet piling and concrete sheet piling because of their lightweight, non-corrosive and UV-resistance properties. • PVC sheet piles are installed in water to act as structures (e.g. seawalls, tide walls, jetties, groins, scour protection and retaining walls) and to control water movement (e.g. riverbank walls, waterways, water diversions, retention ponds and flood walls).
(xv)	Grass paver 	• Grass pavers are manufactured from polypropylene. • Grass pavers are typically used in the construction of grass or gravel access pathways to promote vegetation.

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Description
(xvi)	Drainage cell 	• Drainage cells are manufactured from recycled plastic to produce a strong, rigid and lightweight drainage layer in honeycomb design. • Drainage cells are typically installed on building platforms and rooftops on top of a waterproof layer to allow for filtration to prevent excessive water from ponding.
(xvii)	Modular tank 	• Modular tanks are subsurface water infiltration storage tanks for storm water control and management system. Modular tanks can be stacked and interlocked with other modular tanks to form a larger single structure. • Modular tanks are typically installed under-ground to allow on-site natural water infiltration and at the same time harvest infiltrated rain-water for other purposes.

7. BUSINESS OVERVIEW *(Cont'd)*

7.2.3 On-going and completed projects

(a) On-going projects

As at LPD, our Group has 42 on-going projects with total contract value of RM70.5 million. Out of this total contract value, RM49.9 million remains unbilled as at LPD. The following table sets forth our Group's on-going projects over FYE 2021 to 2024 and up to LPD with contract value of RM2.0 million and above:

No.	Project description[1]	Customer	[2]Contract period	[3]Contract value/ Unbilled contract value as at LPD	[4]Stage of completion as at LPD
				RM' million	%
(i)	Construction of roadway median, U-turn and related works from Parit Sempadan, Batu Pahat, Johor (Section 21) to the bridge across PLUS highway (Section 34.5) – Provision of design and installation solutions for geotextiles and PVD	Customer A	July 2022 to April 2025	5.3/ 2.3	56.5
(ii)	Privatisation of Lebuhraya Persisiran Pantai Barat (Taiping – Banting): Construction and completion of civil works for Section 7 – Assam Jawa Interchange to Tanjung Karang Interchange (Part 2 of 2) – Provision of design and installation solutions for geotextiles	Advancecon Infra Sdn Bhd	January 2023 to June 2025	4.2/ 2.2	47.6
(iii)	Central Spine Road: Kuala Krai to Jambatan Sg. Lakit, Kelantan: Kg. Rahmat to Kg. Sg. Peria – Provision of design and installation solutions for soil nailing	Hexatrend Sdn Bhd	June 2023 to N/A[5]	7.7/ 5.6	27.0
(iv)	Pan-Borneo Sabah Highway Project – Road upgrading works from Bogawan to Papar (WP04) – Provision of design and installation solutions for erosion control blankets and hydroseeding	Pembinaan Kekal Mewah Sdn Bhd	November 2023 to December 2025	4.0/ 3.7	7.1
(v)	Pan-Borneo Sabah Highway Project: Package 29 – Road upgrading works from Moynod to Sapi Nangoh – Provision of design and installation solutions for erosion control blankets and hydroseeding	Hijau Majujuta Sdn Bhd	November 2023 to December 2025	4.1/ 3.6	12.5

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Project description[1]	Customer	[2]Contract period	[3]Contract value/ Unbilled contract value as at LPD	[4]Stage of completion as at LPD
				RM' million	%
(vi)	Pan-Borneo Sabah Highway Project: Package 28 – Road upgrading works from Sandakan to Mile 32 to Moynod – Provision of design and installation solutions for erosion control blankets and hydroseeding	Pembinaan Kekal Mewah Sdn Bhd	December 2023 to December 2025	7.5/ 6.9	8.0
(vii)	Geotechnical works at Jalan Kampung Gemuruh/ Banggol Nyior/ Pondok Lalang, Kuala Nerus, Terengganu – Provision of design and installation solutions for soil nailing	Casa Hartamas Sdn Bhd	February 2024 to May 2027	2.3/ 2.3	-[6]
(viii)	Pan-Borneo Sabah Highway Project: Package 30 – Road upgrading works from Sapi Nangoh to Sg. Baota – Provision of design and installation solutions for erosion control blankets and hydroseeding	Perwira Progresif Construction Sdn Bhd	May 2024 to August 2025	2.4/ 2.2	9.0
(ix)	Package 2A: Central Spine Road: Jambatan Sg. Lakit to Gua Musang, Kelantan and Jambatan Sg. Lakit to Paloh 2 - Provision of design and installation solutions for soil nailing	Casa Hartamas Sdn Bhd	April 2025 to April 2026	11.2/ 11.2	-[7]
(x)	Proposed industrial development on Lot 300 and Lot 2699, Jalan Indah Gemilang, Johor Bahru, Johor – Provision of design and installation solutions for geogrid	Paragon Business Hub Sdn Bhd	September 2024 to March 2025	4.1/ 1.4	60.5
(xi)	Upgrading of road works at Tangkak, Johor – Provision of design and installation solutions for PVD and geotextiles	Astana Setia Sdn Bhd	November 2023 to June 2025	2.9/ 1.1	63.7

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7. BUSINESS OVERVIEW *(Cont'd)*

Notes:

(1) Project descriptions are based on the respective LOAs and/ or purchase orders.

(2) Commencement date of each project is based on the respective LOAs or purchase orders or management estimates on commencement date. Completion date of each project is based on the completion date set out in the respective LOAs and included subsequent extension of time required to deliver variation of work orders from the customers to our Group, if any, or management estimates on completion date.

(3) Contract value and unbilled contract value as at LPD of each project includes original contract value as per LOAs or purchase orders and subsequent variation orders, if any.

(4) The basis for the calculation of percentage of completion is based on the progress billing according to the work done certified by customer against the total contract value.

(5) Not available as the project completion date is based on the instruction from the main contractor.

(6) Installation works to be carried out by our Group have yet to commence due to site logistics issues where the project site is not ready for our Group to mobilise our machinery.

(7) The customer is in the midst of completing the site preparation works in order for us to commence our installation works.

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7. BUSINESS OVERVIEW *(Cont'd)*

(b) Completed projects

The following table sets forth our Group's completed projects over FYE 2021 to 2024 and up to LPD with contract value of RM2.0 million and above:

No.	Project description[1]	Customer	[2]Contract period	[3]Contract value	Status of retention sum
				RM' million	RM' million
(i)	Privatisation of Lebuhraya Persisiran Pantai Barat (Taiping – Banting): Construction and completion of civil works for Section 7 – Assam Jawa Interchange to Tanjung Karang Interchange (Part 1 of 2) – Provision of design and installation solutions for geotextiles	Advancecon Infra Sdn Bhd	December 2018 to November 2022	5.7	0.1
(ii)	Construction and completion of West Coast Expressway for package works for Section 6 (Kapar Interchange to Assam Jawa interchange) – Provision of design and installation solutions for geotextiles	Ganda Imbuhan Sdn Bhd	November 2020 to February 2022	3.6	0.2
(iii)	Proposed earthworks, ground improvement works and associated works for a proposed development at Kota Bayuemas, Klang, Selangor – Provision of design and installation solutions for PVD	Gergasi Perangsang Sdn Bhd	February 2021 to December 2021	2.8	0.1
(iv)	Proposed construction and completion of the Sarawak Second Trunk Road Package B1: Proposed construction of highway from Sebuyau to Lingga, Samarahan and Sri Aman Division – Provision of design and installation solutions for PVD	CHEC Construction (M) Sdn Bhd	August 2021 to January 2024	7.7	0.4
(v)	Supply and install PVD for a project at Aerofront City Housing Development, Selangor – Provision of design and installation solutions for PVD	Southern Revenue Sdn Bhd	February 2022 to November 2023	3.0	0.1
(vi)	Earthworks Phase 8 for proposed mixed development on Lot 68054, Kuala Langat, Selangor – Provision of design and installation solutions for PVD	Landhon Builders Sdn Bhd	February 2023 to March 2024	3.4	0.2

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Project description[1]	Customer	[2]Contract period	[3]Contract value	Status of retention sum
				RM' million	RM' million
(vii)	Construction of new road connecting FELDA Bukit Jalor to Gemas, Negeri Sembilan – Provision of design and installation solutions for pavement	BKS Builders and Infra Sdn Bhd	October 2023 to December 2023	4.7	N/A
(viii)	Proposed construction of a commercial building on Lot 50477, Seremban, Negeri Sembilan – Provision of design and installation solutions for geogrid	Matrixity Resources Sdn Bhd	May 2024 to December 2024	2.1	0.1
(ix)	Proposed piling works for the construction of dairy cow and agricultural farming center with related facilities in Ladang Pasir Besar, Negeri Sembilan – Provision of design and installation solutions for soil stabilising agent	Jack-In Pile (M) Sdn Bhd	February 2024 to February 2025	2.4	N/A

Notes:

(1) Project descriptions are based on the respective LOAs and/ or purchase orders.

(2) Commencement period of each project is based on the respective LOAs or purchase orders, whereas the completion period is based on the date of issuance of final payment certificate.

(3) Contract value of each project is determined based on the original contract amount stated in the LOAs or purchase orders and subsequent variation orders (if any), which collectively form the final project accounts to be mutually agreed upon by both parties.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.2.4 Our principal place of business

Location	Function	Approximate built-up area (sq ft)
Batu Caves HQ		
574, 574-A, 574-B and 574-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor (Owned)	Headquarters	6,006
573-B and 573-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor (Rented)		2,800
Rasa Factory		
Lot 2, Jalan Zurah 4, Kawasan Perindustrian Zurah, 44200 Rasa, Selangor (Owned)	Rasa Factory	69,389
Lot 4, Jalan Zurah 4, Kawasan Perindustrian Zurah, 44200 Rasa, Selangor (Owned)		68,496

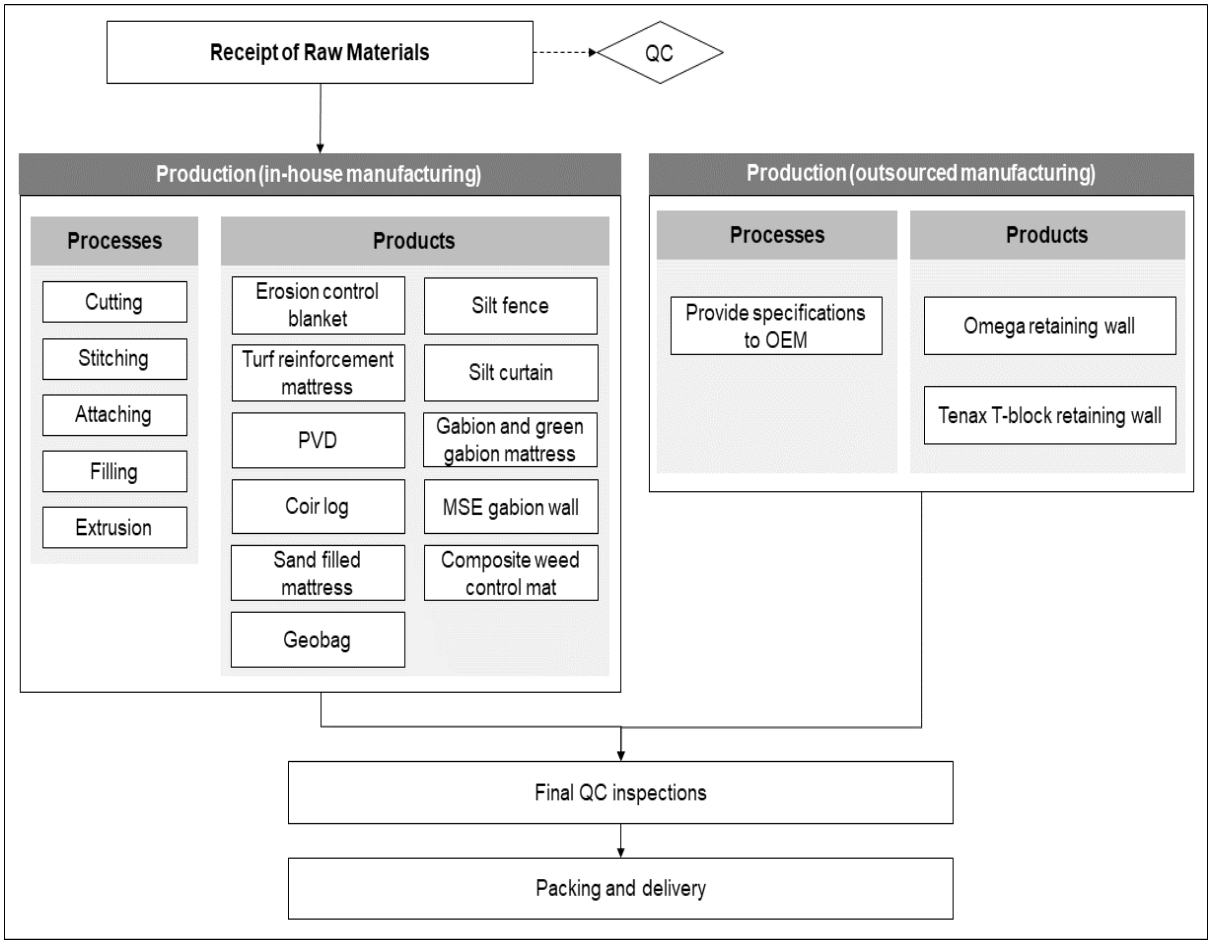
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7. BUSINESS OVERVIEW *(Cont'd)*

7.3 BUSINESS PROCESS

7.3.1 Manufacturing and sales of in-house products

The process flow on the manufacturing and sale of our Group's products is as depicted below:



(a) Receipt of raw materials and products

Upon receipt of raw materials and products, visual QC inspections will be carried out by our QC inspector to ensure that the types, quantity and specifications of the raw materials are in accordance with the delivery order and free from defects. For non-woven geotextiles in particular, an additional QC process of checking the product weight will be carried out. Further, samples from each batch of the received raw materials and products will be collected and sent for laboratory QC testing. Further details on our laboratory QC testing are as set out in Section 7.12.2.

7. BUSINESS OVERVIEW *(Cont'd)*

(b) Production (in-house manufacturing)

Our production comprises separate manufacturing lines and processes whereby raw materials undergo a specific sequence of different production processes based on the type of product to be manufactured.

The following elaborates on the manner in which the respective processes are caried out:

(i) Cutting

A process that uses cutting machines to cut raw materials into the required measurements according to customer's requirement and project design.

(ii) Stitching

A process that uses stitching machines to combine 2 or more layers of materials such as geotextile and netting, or to seal the ends of a material.

(iii) Attaching

A process that is carried out manually to combine 2 different types of materials such as geotextiles, erosion control blankets, erosion control mats and/ or wire-mesh, or to combine 2 ends of a material to obtain the required shape. Materials are attached using accessories such as C-clip rings and/ or polyester webbing.

(iv) Filling

A process that takes place at our factory or at the installation site to form the finished product. This is determined according to the type of filling method of a particular product. For coir logs, filling is done at our factory where coconut fibre is pumped before the product is tied and stored.

For sand filled mattresses, filling is done at the project site, where there are 3 types of filling methods:

- Pneumatic filling, where sand is blown through a flexible hose into the tubes;
- Dry filling, where sand is dropped through a PVC pipe into the tubes and then compacted by a rammer to form compacted sand; and
- Wet filling, where sand is dropped through a PVC pipe into the tubes and then washed down by a water jet to form compacted sand.

(v) Extrusion

A process where resins are fed into a plastic extrusion line to be melted. Extruded plastics will be passed into the water for curing to cool down the plastics and to fix the shape of the plastic. Subsequently, the plastics will undergo rolling whereby air will be blown to dry the plastic core.

7. BUSINESS OVERVIEW *(Cont'd)*

The following depicts the processes carried out to manufacture a particular product:

No.	Product	Processes
(a)	Erosion control blanket	Polypropylene nettings are fed into the blanket stitching machine where natural straw or fibres are spread on a layer of polypropylene netting and subsequently covered with another layer of polypropylene netting before undergoing the stitching process to be stitched together. The erosion control blankets are cut according to the required length and stored in rolls.
(b)	Turf reinforcement mattress	Polypropylene nettings are fed into the blanket stitching machine where natural straw or fibres are spread on a layer of polypropylene nettings and subsequently covered with additional 2 layers of polypropylene nettings before undergoing the stitching process to be stitched together. The turf reinforcement mattresses are cut according to the required length and stored in rolls.
(c)	PVD	Extrusion process is first carried out to extrude resins into the plastic core of the PVD. Then, non-woven geotextiles are wrapped around the plastic core and ultrasonically sealed at the connecting ends. The PVDs are cut according to the required length and stored in rolls.
(d)	Coir log	Polyethylene nettings are cut according to the required length and undergo an attaching process to form a cylinder shape. It is then filled with coconut fibre and tied at the ends to contain the coconut fibre, prior to storage.
(e)	Sand filled mattress	2 layers of polypropylene woven geotextiles are placed on top of one another and fed into the stitching machine to undergo the stitching process to produce multiple pockets. During stitching, the edges are concurrently trimmed using ultrasonic heat. The filling of sand is carried out at project sites. The sand filled mattresses are stored in rolls.
(f)	Geobag	Woven geotextiles or non-woven geotextiles are cut according to the required size and undergo the stitching process to form the bags. The bags are stored in pieces. Depending on project design and requirement, an additional step of attaching process may be undertaken to attach other products such as geogrid, onto the geobags. The filling of sand is carried out at project sites.
(g)	Silt fence	Woven and non-woven geotextiles are cut according to the required length and fed into the stitching machine to undergo stitching process to produce pockets. The silt fences are stored in panels.

7. BUSINESS OVERVIEW *(Cont'd)*

No.	Product	Processes
(h)	Silt curtain	Woven geotextiles and other materials such as reinforced belts or PVC canvases, are cut according to the required length and placed on top of one another. The materials are then fed into the stitching machine to undergo the stitching process to stitch the materials together. Subsequently, it is assembled with galvanised steel link chains, brackets, and bolts and nuts to form the silt curtain, prior to storage. At project sites, polystyrene floaters are inserted into the silt curtains to keep the curtains afloat, while polypropylene ropes are used to tie the silt curtains together to obtain the required length as well as to connect to the weights.
(i)	Gabion and green gabion mattress	PVC-coated zinc wire-mesh are cut and bent into the required dimension. The PVC-coated zinc wire-mesh undergoes an attaching process to fix the shape of the gabion. For green gabion mattresses, an additional step of attaching process will be carried out to attach the erosion control blankets onto the gabion. The gabions and green gabion mattresses are stored by stacking on top of one another. The filling of stones is carried out at project sites.
(j)	MSE gabion wall	PVC-coated zinc wire-meshes are cut and bent into the required dimension. The PVC-coated zinc wire-mesh undergoes attaching process to fix the shape of the gabion. Depending on project design and requirement, an additional step of attaching process may be undertaken to attach other products such as erosion control blankets, erosion control mats or non-woven geotextiles, onto the wire-mesh. The MSE gabion walls are stored by stacking on top of one another. The filling of stones is carried out at project sites.
(k)	Composite weed control mat	Woven polypropylene and erosion control blankets are cut according to the required size and fed into the stitching machine to undergo stitching process to be stitched together. Composite weed control mats are stored in sheets.

At every stage of the respective processes (i.e. cutting, stitching, attaching, filling and extrusion), visual QC is conducted on an hourly basis by our QC inspector to ensure that the products are manufactured according to the required specifications, preventing defects and deviations from accumulating which may cause material quality issue on our products. Further, we will also undertake laboratory QC testing on the 1st piece sample from each machine on a daily basis. Further details on our laboratory QC testing are as set out in Section 7.12.2.

(c) Production (outsourced manufacturing)

For the manufacturing of omega retaining wall and Tenax T-block retaining wall that are outsourced to our appointed OEMs, we will provide the specifications required to the OEMs. Once the OEM products are ready, it will be delivered directly to project sites. Our subcontractors will then carry out installation works.

7. BUSINESS OVERVIEW *(Cont'd)*

(d) Final QC inspections

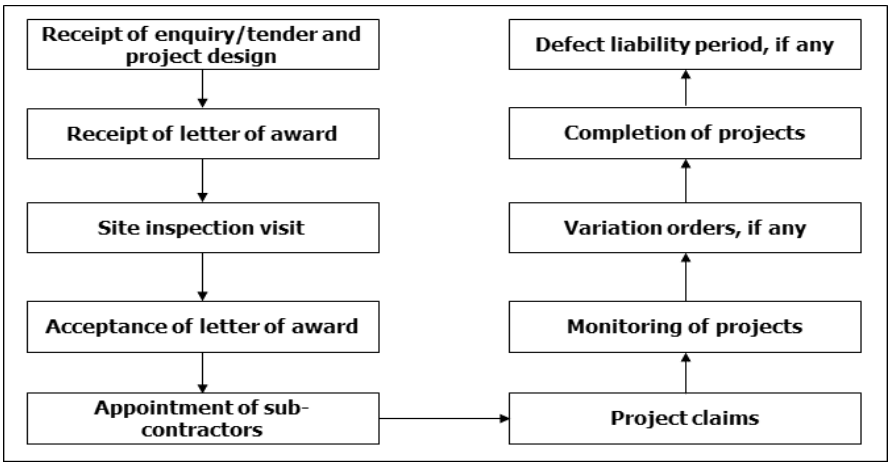
Final visual QC inspections will be carried out by our QC inspector to physically inspect the products prior to delivery to ensure that the product type, quantity and specification are in accordance with our customer's purchase order. Upon request by our customers, we will also carry out laboratory testing on our products in our QC laboratory prior to delivery. Please refer to Section 7.12.2 for further details on our laboratory QC tests.

(e) Packing and delivery

The products will be packed according to the delivery schedule at our Rasa Factory. Logistics arrangements will be made with third-party logistics providers to deliver the products to our customers' designated locations or project sites.

7.3.2 Design and installation of geotechnical solutions

The process flow for our Group's design and installation services are as follows:



(a) Receipt of enquiry/ tender and project design

Upon the receipt of enquiry or invitation to tender, we will request for the project's site information report. Then, we will assess, plan and propose optimal and cost-effective solutions, utilising products that we offer, to best suit the environment and project requirements. Drawings will be prepared together with the product specifications, which would then be submitted to the customer.

Once the design (i.e. drawings and product specifications) has been confirmed, we will conduct an internal project costing and send the quotation or tender to the customer (e.g. Bill of Quantity, proposed project price, and scope of work to be carried out).

(b) Receipt of LOA

Upon the acceptance of our quotation or tender by customer, we will receive a LOA from the customer. Then, we will review the terms of the letter to ensure that it is aligned with the terms stated in the quotation or tender.

7. BUSINESS OVERVIEW *(Cont'd)*

(c) Site inspection visit

An inspection of the project site will be carried out to assess the site conditions before accepting the LOA. The site visit will allow us to assess the adequacy of the installation duration stated in the LOA based on the actual site conditions. This is to ensure that there are no hidden costs involved due to unanticipated site conditions which were not estimated for in our quotation and that the installation duration would be sufficient.

(d) Acceptance of LOA

Upon accepting the LOA, we will plan and allocate our resources before the commencement of the project. Installation works will commence on a date mutually agreed upon.

(e) Appointment of subcontractors

Depending on the installation works required, we will appoint subcontractors accordingly to carry out the installation works. We will then issue a letter of appointment to the appointed subcontractors. For avoidance of doubt, customers will not be involved in the selection of subcontractors to be appointed by our Group.

(f) Project claims

When a project has commenced, monthly progress claim certificates will be submitted to the customer for progress billing. The issuance of monthly progress claim certificates is based on work done basis.

(g) Monitoring of projects

We will monitor the progress of each project closely to ensure that projects are completed within schedule. For installation works that are carried out by subcontractors, we will also supervise and manage the entire installation process to ensure that installation works are carried out according to our project design. In the event that a project timeline is delayed due to unforeseen circumstances, it will be communicated to the customer.

(h) Variation orders, if any

For additional works that are not specified in the LOA, it will be supplemented by a variation order signed by the customer, with the terms and conditions being mutually agreed upon. We will carry out the additional works required upon receiving the signed variation order from the customer.

(i) Completion of projects

Upon completion of the projects, a notice of completion will be officially issued to the customer. Then, we will request for a joint final inspection of the work done together with the customer. Following the inspection, customers will be required to sign-off on the final inspection form to confirm that all works have been carried out in accordance with the scope of work as detailed in the LOA. Subsequently, we will prepare the final claim certificate for our customer's certification. Then, final invoice will be raised once the final payment certificate has been issued by our customer.

7. BUSINESS OVERVIEW *(Cont'd)*

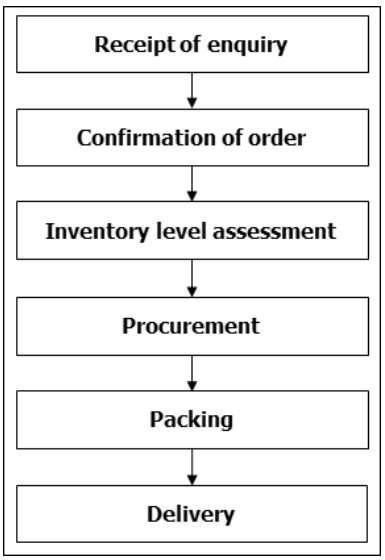
(j) Defect liability period, if any

For projects with defect liability period, the defect liability period may range from 3 months to 24 months upon issuance of the final payment certificate by our customers. During the defect liability period, we will investigate and rectify any defects identified and reported to us by our customer, if any, at our own cost.

For projects with retention sum, a retention sum of 5.0% of the total contract value will be withheld by our customer during the defect liability period, and will be released to us at the end of the defect liability period.

7.3.3 Trading of geosynthetics and erosion control products

The process flow for our Group's trading of geosynthetics and erosion control products are as follows:



(a) Receipt of enquiry and confirmation of order

Upon receipt of enquiry from customers, we will provide a quotation to the customer based on the type and quantity of products required. Once customers confirm the order, we will receive purchase orders from our customers.

(b) Inventory level assessment and procurement

We will check our inventory for the required products. If the quantity of the products required is sufficient, we will pack the products for delivery according to the delivery schedule. If the quantity of the products required is insufficient or not available in our inventory, we will source the required products from our suppliers. Upon receipt of products from our suppliers, visual QC inspection will be carried to ensure that the type, quantity and specification of the products are in accordance with the delivery order. Then, we will store the products in our storage area.

7. BUSINESS OVERVIEW *(Cont'd)*

(c) Packing and delivery

The products will be packed according to the delivery schedule at our Rasa Factory. Logistics arrangements will be made with third-party logistics providers to deliver the products to our customers' designated locations or project sites.

7.4 PRINCIPAL BUSINESS SEGMENTS AND MARKETS

The breakdown of our revenue by business activities for FYE 2021 to 2024 is as follows:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
Business activities	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Design and installation of geotechnical solutions	18,324	40.0	18,801	39.2	34,185	50.0	36,755	48.7
Trading of geosynthetics and erosion control products	17,522	38.3	17,788	37.1	25,325	37.1	25,557	33.9
Manufacturing and sale of in-house products	9,941	21.7	11,364	23.7	8,790	12.9	13,151	17.4
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

The breakdown of our revenue by principal markets for FYE 2021 to 2024 is as follows:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
Principal markets	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Malaysia	**43,411**	**94.8**	**46,142**	**96.2**	**65,864**	**96.5**	**72,633**	**96.2**
Overseas[1]								
Singapore	1,089	2.4	1,211	2.5	1,787	2.6	2,780	3.7
South Korea	1,200	2.6	3	<0.1	221	0.3	44	<0.1
Others[2]	87	0.2	597	1.3	428	0.6	6	<0.1
	2,376	**5.2**	**1,811**	**3.8**	**2,436**	**3.5**	**2,830**	**3.8**
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

Notes:

(1) The revenue generated from overseas was derived from the trading of geosynthetics and erosion control products and the manufacturing and sale of in-house products.

(2) Comprises mainly Hong Kong, India, UK, Solomon Islands and Thailand.

Our Group's principal market is in Malaysia, which accounted for 94.8%, 96.2%, 96.5% and 96.2% of our total revenue for FYE 2021 to 2024 respectively.

7. BUSINESS OVERVIEW *(Cont'd)*

7.5 BUSINESS DEVELOPMENT AND MARKETING STRATEGIES

Our Group constantly adopts various sales and marketing strategies to enhance our corporate profile, build our brand recognition and improve our market standing, with the aim of boosting our revenue. We primarily focus on our business development and marketing strategies in the domestic market. However, from time to time, we may receive enquiries and orders from overseas customers, attributable to our online presence through our corporate website. Our Group's mode of marketing and sales are as follows:

(a) Direct approach

As the sales and marketing of our geotechnical solutions require in-depth knowledge of our products, direct approach is the most effective method as it allows us to deliver the required technical information and detailed explanations and descriptions accurately.

Our sales and marketing team approaches potential customers directly to market our products and services. The proposals that we provide to our potential customers include a technical data sheet and method statement. We also invite them for factory visits where they witness the testing of our products. This is aimed at providing better assurance to our potential customers on the quality of our products prior to purchase.

(b) Tender bidding

We tender projects from private sector companies, public-listed companies and government-linked corporations by submitting our tender applications to the relevant parties. Upon assessing and assuring that we have the required track record, experience and resources to deliver the specifications, parameters and requirements of the project, we will submit our tender application and quote to the relevant party. For avoidance of doubt, we do not tender projects directly from government agencies.

Tendering for projects will also enable our Group to build our presence among industry stakeholders through the introduction of our Group's profile.

(c) Referrals from customers

We also secure new customers through referrals from our existing customers. With over 26 years of experience in the geotechnical solutions industry, we have developed a wide network of customers and business associates from past and existing projects. Hence, our business development efforts are also focused on fostering close business relationships with existing and past customers as well as business associates who may refer projects to us.

7. BUSINESS OVERVIEW *(Cont'd)*

(d) Trade exhibitions, conferences and events

An important aspect of our sales and marketing activities is our Group's participation in trade exhibitions, conferences and events as these are effective mediums to showcase our products and meet potential customers. The key trade exhibitions, conferences and events that we have participated for FYE 2021 to 2024 and up to LPD are as follows:

Year	Name of trade exhibition/ Event	Organiser	Location
March 2022	24th Malaysian National Committee on Irrigation & Drainage ("**MANCID**") Conference	MANCID	Penang, Malaysia
March 2022	International Dubai Expo	Malaysian Green Technology and Climate Change Centre	Dubai, United Arab Emirates
July 2023	Penang State Department of Irrigation and Drainage Service Award Day	Sports and Welfare Club	Penang, Malaysia
August 2023	Government Tender and Quotation Management Seminar from CIDB and Terengganu State Irrigation and Drainage Department	Terengganu State Irrigation and Drainage Department	Terengganu, Malaysia
August 2023	JKR Greenday	Malaysia Public Works Department (JKR)	Kuala Lumpur, Malaysia
September 2023	25th Malaysian National Committee on Irrigation and Drainage Conference	MANCID	Putrajaya, Malaysia
November 2023	National Farmers and Fishermen's Day	Ministry of Agriculture and Food Security Malaysia	Ipoh, Malaysia
December 2023	National Biomass Conference 2023	Ministry of Plantation and Commodities	Selangor, Malaysia

7. BUSINESS OVERVIEW *(Cont'd)*

Year	Name of trade exhibition/ Event	Organiser	Location
February 2024	JKR Negeri Sembilan – E-tender Course	Sports and Welfare Club JKR Negeri Sembilan	Negeri Sembilan, Malaysia
May 2024	SWaM: National Conference on Stormwater Management – Stormwater Management Resiliency: Solutions for the Future	Malaysian Stormwater Organisation	Putrajaya, Malaysia

In addition, participation in trade exhibitions, conferences and events allows us to stay updated on the relevant market trends and technical information, expand our business network within the industry, as well as enhance our brand visibility and our Group's presence.

Furthermore, we participate in conferences to share our knowledge and expertise in the geotechnical solutions industry. Some of our key management personnel have been invited to erosion control related conferences to represent our Group in delivering speeches regarding certain topics on geotechnical solutions. We believe these events allow us to keep prospective clients and business associates up-to-date with the types of geotechnical solutions we can offer.

(e) Corporate website

We have established our corporate website at www.fibromatberhad.com.my, which provides immediate searchable information on our Group, including our products and services offerings. We invest in increasing our corporate website's visibility and traffic count by implementing search engine optimisation. These efforts enhance our online presence which aids in attracting potential customers.

The current widespread use of the Internet as a source of information and a platform to search for products and solutions providers enables us to cross geographical boundaries and facilitates access from any part of the world. We believe that the abovementioned efforts will allow us to target customers who are already seeking services in relation to geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.6 MAJOR CUSTOMERS

Our Group's top 5 major customers by revenue contribution for FYE 2021 to 2024 are as follows:

FYE 2021

No.	Major customers	Country	Main products sold	Revenue contribution		Length of relationship as at end of FYE
				RM'000	%	Years
1.	Boon Seng (Kuching) Sdn Bhd	Malaysia	• Design and installation of PVDs • Supply of erosion control blankets, turf reinforcement mattresses, woven geotextiles and non-woven geotextiles	3,063	6.7	9
2.	Ganda Imbuhan Sdn Bhd	Malaysia	Design and installation of woven high strength geo-composites	2,980	6.5	1
3.	Grand Flame Sdn Bhd(1)	Malaysia	Supply of PVDs and non-woven geotextiles	1,849	4.0	6
4.	Gergasi Perangsang Sdn Bhd	Malaysia	Design and installation of PVDs	1,833	4.0	<1
5.	Bina Mekar Sdn Bhd	Malaysia	Supply of woven geotextiles and non-woven geotextiles	1,560	3.4	1
			Subtotal	**11,285**	**24.6**	
			Total revenue	**45,787**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2022

No.	Major customers	Country	Main products sold	Revenue contribution		Length of relationship as at end of FYE
				RM'000	%	Years
1.	China Communications Group[2]	Malaysia	• Design and installation of PVDs, erosion control blankets and hydroseeding • Supply of silt curtains, woven geotextiles, non-woven geotextiles and geogrids	6,554	13.7	6
2.	Grand Flame Sdn Bhd[1]	Malaysia	Supply of PVDs, woven geotextiles and non-woven geotextiles	3,629	7.6	7
3.	Wintima Corporation Sdn Bhd	Malaysia	Design and installation, as well as supply of soil stabilising agent, non-woven geotextiles and geobags	1,784	3.7	5
4.	Bina Mekar Sdn Bhd	Malaysia	Supply of woven geotextiles and non-woven geotextiles	1,719	3.6	2
5.	Customer M	Malaysia	Design and installation of geotextile tubes, silt curtains and non-woven geotextiles	1,250	2.6	1
			Subtotal	**14,936**	**31.2**	
			Total revenue	**47,953**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2023

No.	Major customers	Country	Main products sold	Revenue contribution		Length of relationship as at end of FYE
				RM'000	%	Years
1.	China Communications Group[2]	Malaysia	• Design and installation of PVDs, erosion control blankets and hydroseeding • Supply of silt curtains, woven geotextiles, non-woven geotextiles and geogrids	18,074	26.5	7
2.	BKS Builders and Infra Sdn Bhd	Malaysia	Design and installation of pavement[3]	4,230	6.2	<1
3.	Landhon Builders Sdn Bhd	Malaysia	• Design and installation of PVDs • Supply of non-woven geotextiles	3,434	5.0	5
4.	Southern Revenue Sdn Bhd	Malaysia	• Design and installation of PVDs • Supply of non-woven geotextiles	2,265	3.3	1
5.	Advancecon Infra Sdn Bhd	Malaysia	Design and installation of geotextiles, geocells, soil retaining system panel and PVDs	1,840	2.7	12
			Subtotal	**29,843**	**43.7**	
			Total revenue	**68,300**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2024

No.	Major customers	Country	Main products sold	Revenue contribution		Length of relationship as at end of FYE
				RM'000	%	Years
1.	Reni Pioneer Group[5]	Malaysia	• Design and installation of pavement[3] and supply of bitumen[4]	9,169	12.1	1
2.	Matrixity Resources Sdn Bhd	Malaysia	• Design and installation of geogrids, woven geotextiles, non-woven geotextiles, erosion control blankets and hydroseeding • Supply of non-woven geotextiles, geogrids, woven geotextiles, erosion control blankets and turf reinforcement mattresses	3,660	4.9	3
3.	Boon Seng (Kuching) Sdn Bhd	Malaysia	• Design and installation of hydroseeding • Supply of erosion control blankets, geobags, turf reinforcement mattresses, non-woven geotextiles, woven geotextiles, PVDs and geogrids	3,244	4.3	12
4.	Southern Revenue Sdn Bhd	Malaysia	• Design and installation of PVDs • Supply of non-woven geotextiles	2,493	3.3	3
5.	Jack-In Pile (M) Sdn Bhd	Malaysia	• Supply and compact Fibrobase Soil Stabilisation for basal reinforcement	2,388	3.2	<1
			Subtotal	**20,954**	**27.8**	
			Total revenue	**75,463**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

Notes:

(1) Grand Flame Sdn Bhd is principally involved in trading, building and construction works. Grand Flame Sdn Bhd is not a manufacturer, and it purchases PVDs and geotextiles from our Group for the projects awarded to it. Our Group, on the other hand, is a manufacturer of PVDs and engages Grand Flame Sdn Bhd's PVD installation services as a subcontractor for our Group's projects.

(2) China Communications Group comprises China Communications Construction (ECRL) Sdn Bhd, China Communications Construction Company (M) Sdn Bhd and CHEC Construction (M) Sdn Bhd.

(3) Provision of a one-off services for an infrastructure project which is not part of our Group's geotechnical solutions. Our Group outsourced the installation works to subcontractors and is involved in project managing the installation works.

(4) Our Group sources and sells bitumen upon request from customers. For the avoidance of doubt, we do not provide design and installation for bitumen.

(5) Reni Pioneer Group comprises BKS Builders and Infra Sdn Bhd and Reni Trading & Supplies Sdn Bhd. Reni Trading & Supplies Sdn Bhd became our customer since FYE 2024.

Our Group has secured 56, 63, 62 and 63 contracts for FYE 2021 to 2024 respectively from numerous customers that are involved in the construction sector. Revenue contribution from our Group's major customers varies from year to year given the nature of our business being conducted on a project-by-project basis based on our customers' needs, and we may not secure similar contracts in terms of size and scope from the same customers every year. These major customers contributed to our Group's revenue for FYE 2021 to 2024 due to the timing and progress of the geotechnical solutions contracts of our Group. As such, we are not dependent on any of our major customers.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.7 TYPES, SOURCES AND AVAILABILITY OF SUPPLIES

Our materials and supplies are sourced from overseas and local suppliers. Thus far, we have not experienced any material shortages in sourcing the required materials and supplies for our operations as they are readily available from overseas suppliers as well as local suppliers.

The key materials and supplies purchased by our Group are as follows:

Type of supplies	Currency	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
		RM'000	%	RM'000	%	RM'000	%	RM'000	%
Materials and supplies									
Geogrids		**111**	**0.4**	**2,688**	**8.5**	**11,071**	**23.7**	**1,628**	**3.5**
- China	USD	111	0.4	495	1.6	1,299	2.8	-	-
- China	RMB	-	-	2,193	6.9	9,772	20.9	1,628	3.5
Non-woven geotextiles		**7,203**	**25.0**	**6,642**	**21.0**	**5,326**	**11.4**	**6,145**	**13.3**
- Malaysia	RM	5,022	17.4	4,578	14.5	4,122	8.9	3,408	7.4
- Vietnam	USD	491	1.7	291	0.9	154	0.3	83	0.2
- India	USD	353	1.2	-	-	-	-	-	-
- China	USD	1,337	4.7	1,773	5.6	563	1.2	-	-
- China	RMB	-	-	-	-	487	1.0	2,654	5.7
Woven geotextiles		**6,074**	**21.1**	**3,940**	**12.5**	**3,584**	**7.7**	**7,558**	**16.3**
- Malaysia	RM	79	0.3	183	0.6	349	0.7	74	0.2
- South Korea	USD	5,312	18.4	3,245	10.3	1,099	2.4	6,000	12.9
- Thailand	USD	308	1.1	272	0.8	324	0.7	-	-
- China	USD	375	1.3	240	0.8	-	-	-	-
- China	RMB	-	-	-	-	1,812	3.9	1,484	3.2
Recycled resins		**2,188**	**7.6**	**3,567**	**11.3**	**2,520**	**5.4**	**2,196**	**4.7**
- Malaysia	RM	2,188	7.6	3,567	11.3	2,520	5.4	2,196	4.7
PET spunbonds		**1,927**	**6.7**	**1,410**	**4.5**	**1,813**	**3.9**	**774**	**1.7**
- Indonesia	USD	381	1.3	-	-	547	1.2	774	1.7
- China	USD	1,546	5.4	1,410	4.5	1,266	2.7	-	-
Nettings		**935**	**3.3**	**2,340**	**7.4**	**782**	**1.7**	**835**	**1.8**
- Malaysia	RM	98	0.4	152	0.5	105	0.2	161	0.3
- Belgium	EUR	837	2.9	1,348	4.3	-	-	-	-
- China	USD	-	-	840	2.6	677	1.5	454	1.0
- China	RMB	-	-	-	-	-	-	220	0.5
Fibres		**1,275**	**4.4**	**1,236**	**3.9**	**688**	**1.5**	**1,018**	**2.2**
- Malaysia	RM	1,275	4.4	1,236	3.9	688	1.5	1,018	2.2
Gabion mattresses		**152**	**0.5**	**341**	**1.1**	**670**	**1.4**	**785**	**1.7**
- Malaysia	RM	152	0.5	341	1.1	670	1.4	435	0.9
- China	RMB	-	-	-	-	-	-	350	0.8

7. BUSINESS OVERVIEW *(Cont'd)*

Type of supplies	Currency	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
		RM'000	%	RM'000	%	RM'000	%	RM'000	%
Geocells		**392**	**1.4**	**221**	**0.7**	**420**	**0.9**	**-**	**-**
- China	USD	392	1.4	8	<0.1	420	0.9	-	-
- China	RMB	-	-	213	0.7	-	-	-	-
High-strength geo-composites		**445**	**1.5**	**144**	**0.5**	**363**	**0.8**	**181**	**0.4**
- China	USD	445	1.5	144	0.5	210	0.5	-	-
- China	RMB	-	-	-	-	153	0.3	181	0.4
Polystyrene floaters		**131**	**0.5**	**328**	**1.0**	**136**	**0.3**	**635**	**1.4**
- Malaysia	RM	131	0.5	328	1.0	136	0.3	635	1.4
Grass seeds		**25**	**0.1**	**17**	**0.1**	**276**	**0.6**	**701**	**1.5**
- Malaysia	RM	25	0.1	17	0.1	276	0.6	283	0.6
- Australia	AUD	-	-	-	-	-	-	418	0.9
Omega blocks		**9**	**<0.1**	**322**	**1.0**	**131**	**0.3**	**47**	**0.1**
- Malaysia	RM	9	<0.1	322	1.0	131	0.3	47	0.1
Drainage cells		**31**	**0.1**	**7**	**<0.1**	**311**	**0.7**	**3**	**<0.1**
- Malaysia	RM	17	0.1	-	-	-	-	-	-
- Singapore	SGD	14	<0.1	7	<0.1	311	0.7	3	<0.1
Geotextile tubes		**534**	**1.9**	**98**	**0.3**	**-**	**-**	**68**	**0.1**
- China	USD	534	1.9	98	0.3	-	-	68	0.1
Bitumen		**-**	**-**	**-**	**-**	**-**	**-**	**4,239**	**9.1**
- Malaysia	RM	-	-	-	-	-	-	4,239	9.1
Other materials(1)		**2,986**	**10.3**	**2,800**	**8.9**	**4,586**	**9.8**	**7,622**	**16.5**
- Malaysia	RM	1,908	6.6	2,675	8.5	3,887	8.3	5,390	11.6
- Singapore	EUR	166	0.5	9	<0.1	18	<0.1	41	0.1
- China	USD	628	2.2	116	0.4	568	1.2	447	1.0
- China	RMB	-	-	-	-	113	0.3	1,743	3.8
- India	USD	284	1.0	-	-	-	-	-	-

7. BUSINESS OVERVIEW *(Cont'd)*

Type of supplies	Currency	FYE 2021 RM'000	FYE 2021 %	FYE 2022 RM'000	FYE 2022 %	FYE 2023 RM'000	FYE 2023 %	FYE 2024 RM'000	FYE 2024 %
Services									
Subcontracted services		**3,831**	**13.3**	**4,977**	**15.8**	**13,569**	**29.1**	**11,415**	**24.6**
- Malaysia	RM	3,831	13.3	4,977	15.8	13,569	29.1	11,415	24.6
Logistics services		**558**	**1.9**	**467**	**1.5**	**360**	**0.8**	**515**	**1.1**
- Malaysia	RM	558	1.9	467	1.5	360	0.8	515	1.1
Total purchases		**28,807**	**100.0**	**31,545**	**100.0**	**46,606**	**100.0**	**46,364**	**100.0**

Note:

(1) Other materials comprise, amongst others, geomat, galvanised link chains, polyfilament white belts, PVC canvasses, polyester filament yarns, polyester sewing yarns and polyester sewing threads.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.8 MAJOR SUPPLIERS AND SUBCONTRACTORS

Our Group's top 5 major suppliers and subcontractors according to total purchases for FYE 2021 to 2024 are as follows:

FYE 2021

No.	Major suppliers and subcontractors	Country	Supplier/ Subcontractor	Main products/ services sourced	Value of purchases		Length of relationship as at end of FYE
					RM'000	%	Years
1.	Nonwoven Product Industries (M) Sdn Bhd	Malaysia	Supplier	Non-woven geotextiles	5,101	17.7	12
2.	Daejung Company Ltd	South Korea	Supplier	Woven geotextiles	4,392	15.2	7
3.	Grand Flame Sdn Bhd[(1)]	Malaysia	Subcontractor	PVD installation services	1,695	5.9	7
4.	Shandong Taipeng Nonwoven Co Ltd	China	Supplier	PET spunbonds	1,481	5.1	2
5.	Hock Technology Co Ltd	China	Supplier	Woven geotextiles, geotextile tubes and high-strength geo-composites	1,354	4.7	4
				Subtotal	**14,023**	**48.6**	
				Total purchases	**28,807**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2022

No.	Major suppliers and subcontractors	Country	Supplier/ Subcontractor	Main products/ services sourced	Value of purchases		Length of relationship as at end of FYE
					RM'000	%	Years
1.	Nonwoven Product Industries (M) Sdn Bhd	Malaysia	Supplier	Non-woven geotextiles	4,761	15.1	13
2.	Daejung Company Ltd	South Korea	Supplier	Woven geotextiles	3,245	10.3	8
3.	Elite Polymers Resources	Malaysia	Supplier	Polypropylene resins and recycled polypropylene resins	3,219	10.2	4
4.	Taian Road Engineering Materials Co Ltd	China	Supplier	Geogrids	2,688	8.5	<1
5.	Grand Flame Sdn Bhd(1)	Malaysia	Subcontractor	PVD installation services	1,436	4.6	8
				Subtotal	**15,349**	**48.7**	
				Total purchases	**31,545**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2023

No.	Major suppliers and subcontractors	Country	Supplier/ Subcontractor	Main products/ services sourced	Value of purchases		Length of relationship as at end of FYE
					RM'000	%	Years
1.	Taian Road Engineering Materials Co Ltd	China	Supplier	Geogrids	10,448	22.4	1
2.	Grand Flame Sdn Bhd(1)	Malaysia	Subcontractor	PVD installation services	5,113	11.0	9
3.	Nonwoven Product Industries (M) Sdn Bhd	Malaysia	Supplier	Non-woven geotextiles	4,218	9.1	14
4.	H&H Bina Sdn Bhd	Malaysia	Subcontractor	Services for milling and pavement works	2,992	6.4	<1
5.	Elite Polymers Resources	Malaysia	Supplier	Polypropylene resins and recycled polypropylene resins	2,521	5.4	5
				Subtotal	**25,292**	**54.3**	
				Total purchases	**46,606**	**100.0**	

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 2024

No.	Major suppliers and subcontractors	Country	Supplier/ Subcontractor	Main products/ services sourced	Value of purchases		Length of relationship as at end of FYE
					RM'000	%	Years
1.	Daejung Company Ltd	South Korea	Supplier	Woven geotextiles	4,947	10.7	10
2.	Grand Flame Sdn Bhd(1)	Malaysia	Subcontractor	PVD installation services	3,377	7.3	10
3.	Nonwoven Product Industries (M) Sdn Bhd	Malaysia	Supplier	Non-woven geotextiles	3,206	6.9	15
4.	Taian Taidong Engineering Materials Co Ltd	China	Supplier	Non-woven geotextiles, HDPE geomembranes and geosynthetic clay liners	2,860	6.2	2
5.	Patrona Group Sdn Bhd	Malaysia	Supplier	Bitumen(2)	2,557	5.5	<1
				Subtotal	**16,947**	**36.6**	
				Total purchases	**46,364**	**100.0**	

Notes:

(1) Grand Flame Sdn Bhd is principally involved in trading, building and construction works. Grand Flame Sdn Bhd is not a manufacturer, and it purchases PVDs and geotextiles from our Group for the projects awarded to it. Our Group, on the other hand, is a manufacturer of PVDs and engages Grand Flame Sdn Bhd's PVD installation services as a subcontractor for our Group's projects.

(2) Upon customer's request, we will source bitumen from our network of suppliers. For FYE 2024, our Group purchased bitumen from Patrona Group Sdn Bhd for sale to Reni Trading & Supplies Sdn Bhd which is also our top 5 major customers in FYE 2024.

7. BUSINESS OVERVIEW *(Cont'd)*

We are not dependent on any of our major suppliers and subcontractors as these products and services can be sourced from any other suppliers or subcontractors. Our Group will not incur any switching costs if we were to purchase such materials or services from other suppliers and subcontractors. We do not have any long-term contracts with our suppliers and subcontractors, which gives our Group the flexibility to source for products and services at competitive prices.

Nonwoven Product Industries (M) Sdn Bhd was our top 5 major supplier for FYE 2021 to 2024 whereby it accounted for 17.7%, 15.1%, 9.1% and 6.9% of our Group's purchases respectively. Nevertheless, we are not dependent on Nonwoven Product Industries (M) Sdn Bhd as our purchase of non-woven geotextiles can be easily sourced from other suppliers in the market. For FYE 2021 to 2024, we also purchased non-woven geotextiles from other suppliers. The higher value of purchase of non-woven geotextiles from Nonwoven Product Industries (M) Sdn Bhd was due to its manufacturing facilities being located locally and thus, the shorter lead time to obtain the supplies for our projects, as compared to suppliers located overseas. Notwithstanding that, it is our Group's strategy to diversify our purchases to reduce our dependency on a particular supplier. Hence, in any situation where we face disruptions to obtain supplies from a particular supplier, we are able to immediately source from another supplier.

As at LPD, our Group has 142 suppliers and 38 subcontractors. We maintain a list of approved suppliers and subcontractors based on a variety of factors, including quality of products, pricing, lead time for delivery and reliability. In this respect, our Group has continuously engaged our major suppliers and subcontractors due to their availability of supply, service quality, ability to meet delivery timelines and price competitiveness. We have established good business relationships with our suppliers and subcontractors to ensure minimal disruptions to our supply chain and business operations.

7.9 INTERRUPTIONS TO BUSINESS

Our Group has not experienced any material interruptions which have significantly affected our operations during the past 12 months preceding LPD.

7.10 SEASONALITY

Our operations are not significantly affected by seasonal and cyclical effects as our customers generally operate throughout the year. However, the demand for our geotechnical solutions may be affected by economic conditions and government policies, which may affect the geotechnical solutions industry.

7. BUSINESS OVERVIEW *(Cont'd)*

7.11 OPERATING CAPACITIES AND OUTPUT

Our Group's estimated annual production capacity and utilisation rates for FYE 2021 to 2024 are as follows:

FYE 31 December 2021

Machine	Products	Unit of measurement	Number of units	Estimated annual production capacity	Actual annual production	Utilisation rate
Erosion control blanket stitching machine	Erosion control blanket	Roll	1	27,000 rolls[(1)]	22,913 rolls	84.9%
Corrugation machine	Turf reinforcement mattress netting	Roll	1	1,125 rolls[(2)]	130 rolls	11.6%
Sandfilled stitching machine	Sand filled mattress	sqm	2	450,000 sqm[(3)]	19,347 sqm	4.3%
Coir log pressing machine	Coir log	Roll	1	4,500 rolls[(4)]	420 rolls	9.3%
Stitching machine	Silt curtain	Set	1	1,125 sets[(5)]	317 sets	28.2%
Stitching machine	Geobag	Pieces	2	90,000 pieces[(6)]	10,084 pieces	11.2%
Plastic extrusion line	PVD	m	4	14,400,000 m[(7)]	8,493,200 m	59.0%

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 31 December 2022

Machine	Products	Unit of measurement	Number of units	Estimated annual production capacity	Actual annual production	Utilisation rate
Erosion control blanket stitching machine	Erosion control blanket	Roll	1	27,000 rolls[1]	26,343 rolls	97.6%
Corrugation machine	Turf reinforcement mattress netting	Roll	1	1,125 rolls[2]	272 rolls	24.2%
Sandfilled stitching machine	Sand filled mattress	sqm	2	450,000 sqm[3]	89 sqm	*
Coir log pressing machine	Coir log	Roll	1	4,500 rolls[4]	151 rolls	3.4%
Stitching machine	Silt curtain	Set	1	1,125 sets[5]	866 sets	77.0%
Stitching machine	Geobag	Pieces	2	90,000 pieces[6]	6,277 pieces	7.0%
Plastic extrusion line	PVD	m	6	21,600,000 m[7]	7,384,496 m	34.2%

FYE 31 December 2023

Machine	Products	Unit of measurement	Number of units	Estimated annual production capacity	Actual annual production	Utilisation rate
Erosion control blanket stitching machine	Erosion control blanket	Roll	2	49,500 rolls[8]	27,692 rolls	55.9%
Corrugation machine	Turf reinforcement mattress netting	Roll	1	1,125 rolls[2]	59 rolls	5.2%
Sandfilled stitching machine	Sand filled mattress	sqm	2	450,000 sqm[3]	18 sqm	<0.1%
Coir log pressing machine	Coir log	Roll	1	4,500 rolls[4]	408 rolls	9.1%
Stitching machine	Silt curtain	Set	1	1,125 sets[5]	238 sets	21.2%
Stitching machine	Geobag	Pieces	2	90,000 pieces[6]	20,151 pieces	22.4%
Plastic extrusion line	PVD	m	6	21,600,000 m[7]	8,675,854 m	40.2%

7. BUSINESS OVERVIEW *(Cont'd)*

FYE 31 December 2024

Machine	Products	Unit of measurement	Number of units	Estimated annual production capacity	Actual annual production	Utilisation rate
Erosion control blanket stitching machine	Erosion control blanket	Roll	2	49,500 rolls[8]	29,699 rolls	60.0%
Corrugation machine	Turf reinforcement mattress netting	Roll	1	1,125 rolls[2]	141 rolls	12.5%
Sandfilled stitching machine	Sand filled mattress	sqm	2	450,000 sqm[3]	9 sqm	<0.1%
Coir log pressing machine	Coir log	Roll	1	4,500 rolls[4]	940 rolls	20.9%
Stitching machine	Silt curtain	Set	1	1,125 sets[5]	1,197 sets	[9]106.4%
Stitching machine	Geobag	Pieces	2	90,000 pieces[6]	17,781 pieces	19.8%
Plastic extrusion line	PVD	m	6	21,600,000 m[7]	6,446,600 m	29.8%

Notes:

(1) Calculated based on an average process cycle of 12 rolls per hour with a daily 7.5-hour shift for 25 working days per month for the year ended.

(2) Calculated based on an average process cycle of 0.5 roll per hour with a 7.5-hour shift for 25 working days per month for the year ended.

(3) Calculated based on an average process cycle of 100 sqm per hour with a 7.5-hour shift for 25 working days per month for the year ended.

(4) Calculated based on an average process cycle of 2 rolls per hour with a 7.5-hour shift for 25 working days per month for the year ended.

(5) Calculated based on an average process cycle of 0.5 set per hour with a 7.5-hour shift for 25 working days per month for the year ended.

(6) Calculated based on an average process cycle of 20 pieces per hour with a 7.5-hour shift for 25 working days per month for the year ended.

(7) Calculated based on an average process cycle of 1000 m per hour with a 12-hour shift for 25 working days per month for the year ended.

(8) Calculated based on an average process cycle of 12 rolls per hour and 10 rolls per hour respectively for each machine, with a daily 7.5-hour shift for 25 working days per month for the year ended.

7. BUSINESS OVERVIEW *(Cont'd)*

(9) The actual annual production exceeded the estimated annual production capacity due to overtime work to fulfil orders. Overtime is implemented only when necessary, hence, similar basis of computation for estimated annual production capacity for FYE 2021 to 2023 was applied for FYE 2024.

Due to the nature of our business, our in-house manufactured products are manufactured based on project needs and customers' order. Further, some of our products that use natural materials such as erosion control blankets and coir logs, are biodegradable and as such, these products cannot be stored for long periods of time. As such, our products are manufactured for just-in-time delivery. Hence, the utilisation rates of some of our machinery may be low for certain years as product manufacturing is only carried out as and when required based on orders.

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7. BUSINESS OVERVIEW *(Cont'd)*

7.12 QC PROCEDURES AND CERTIFICATIONS

7.12.1 Manufacturing and sales of in-house products

Our Group places emphasis on the quality of all products that we offer to our customers. We are committed to ensuring that the QC procedures that we have put in place fulfil the requirements of our customers and are in accordance with internationally-recognised standards. As a testament to our on-going commitment to quality, we have received the following certifications and accreditations:

Standards	Awarding body	Year first awarded	Current validity period	Scope of certification
ISO 9001: 2015 Quality management system (QMS)	GCL International Ltd, UK	2006	24 January 2024 to 24 January 2027	Manufacture of erosion control products and geosynthetics
ISO 14001: 2015 Environmental management system (EMS)	GCL International Ltd, UK	2013	26 September 2024 to 26 September 2027	Manufacture of erosion control products
Laboratory accreditation scheme of Malaysia (MS ISO/ IEC 17025:2017)	Department of Standards Malaysia	2021	15 October 2024 to 26 November 2029	Certifies that the laboratory meets both the technical competence requirements and management system requirements that are necessary for it to consistently deliver technically valid test results, and that it is recognised in Malaysia
Eco-Label Licence (SIRIM ECO 005: 2018)	SIRIM QAS International Sdn Bhd	2023	26 November 2024 to 6 January 2027	Licence to use the Eco-Label Mark on biofibre composite construction materials (Erosion control blanket)
Eco-Label Licence (SIRIM ECO 018: 2017)	SIRIM QAS International Sdn Bhd	2023	26 November 2024 to 6 January 2027	Licence to use the Eco-Label Mark on recycled plastic products (PVDs and geocell)
Green Label Certification (ISO 14024 Type I ECO-Labels)	Malaysian Green Technology and Climate Change Corporation	2023	22 January 2025 to 6 January 2027	A green label certification which authorises the use of MyHIJAU Mark on our erosion control blankets, PVDs and geocells in recognition of our products meeting local and international environmental standards

7. BUSINESS OVERVIEW *(Cont'd)*

7.12.2 Our QC laboratory

Given that our products are used in construction activities, it is important to ensure that all our products meet the required quality standards. As part of our Group's effort to ensure the quality of our products, we have set up an in-house QC laboratory at our Rasa Factory to carry out QC testing on our products from time to time (i.e. on each batch of incoming raw materials and products, and the 1st piece sample from each machine on a daily basis), or upon request by our customers.

For incoming raw materials and products, we select random samples to carry out laboratory QC testing such as measurement of size, weight and/ or moisture level. The number of samples taken may range from approximately 1% to 50% of each batch, depending on batch size, in which this is in accordance with the acceptable quality level set out by ASTM International (i.e. a standards organisation that develops and publishes voluntary consensus technical international standards for a wide range of materials, products, systems and services). If any of the samples do not meet the required specification, we may request for the supplier to conduct QC checks (together with our QC inspector) in our factory on the entire batch of raw materials/ products. Depending on the type of defects detected, we may downgrade the specification of the raw materials/ products, or request for the entire batch of raw materials/ products to be returned to the supplier for replacement, subject to mutual agreement between our QC inspector and the supplier's QC representative.

For our in-house manufactured products, we undertake laboratory QC testing which comprise the measurement of length, diameter, width, thickness, weight, material quality and condition, and/ or stitching quality, amongst others. Our laboratory QC testing is carried out on the daily 1st piece sample from each machine, and if a deviation of specification outside the tolerable range for the respective products is detected on the sample, we will readjust the setting of our machines. The type of laboratory QC tests to be undertaken is dependent on the type of product and test objective to be achieved, in which further details are as set out in the table below.

Our QC laboratory meets the MS ISO/ IEC 17025:2017 standards and is accredited by the Department of Standards Malaysia which demonstrates that our laboratory has met the technical competence requirements and management system requirements necessary for us to consistently deliver technically valid test results, thus giving further assurance to our customers. We carry out laboratory QC testing on our in-house manufactured products and third-party products.

We are able to carry out the following QC tests in our laboratory:

Scope of tests	Descriptions
Mass per unit area	A test method used for woven and non-woven geotextiles and geosynthetics, to determine the mass per unit area of the product
Thickness	A test method used for woven and non-woven geotextiles and geosynthetics, to determine the thickness of a product
Tensile strength and elongation	A test method used for woven and non-woven geotextiles and geosynthetics, to determine the breaking strength and elongation of a product
Seam test	A test method used for woven and non-woven geotextiles and geosynthetics, to determine the strength of the seam

7. BUSINESS OVERVIEW *(Cont'd)*

Scope of tests	Descriptions
Index puncture resistance	A test method used for woven and non-woven geotextiles and geosynthetics, to determine the puncture resistance of geotextiles
California bearing ratio (CBR) puncture	A test method used for woven and non-woven geotextiles to assess the puncture strength of geotextiles
Trapezoidal tear strength	A test method used for non-woven geotextiles, to estimate the relative tear resistance of different fabrics or different directions in the same fabric
Water permeability	A test method used for geosynthetics such as woven geotextiles, non-woven geotextiles, to determine the hydraulic conductivity (i.e. water permeability) of geotextiles in terms of permittivity under standard testing conditions, in an uncompressed state
Cone drop	A test method used for geosynthetics such as non-woven geotextiles, to measure the resistance to perforation of a product
Apparent opening size	A test method used for geosynthetics such as woven geotextiles and non-woven geotextiles, to determine the apparent opening size of a geotextile which reflects the approximate largest opening dimension available for soil to pass through
Grab strength	A test method used for non-woven geotextiles to determine the breaking load (grab strength) and elongation (grab elongation) of geotextiles which measures the effective strength of the geotextile
Ball burst strength	A test method used for geosynthetics such as woven geotextiles and non-woven geotextiles, to measure the strength of the products
Width	A test method used for geosynthetics such as woven geotextiles and non-woven geotextiles, to determine the width of the product
Bursting strength	A test method used for geosynthetics such as woven geotextiles and non-woven geotextiles, to measure the strength of the products using hydraulic pressure
Discharge capacity	A test method used for PVD to measure the volume of water that can pass through the product using specific hydraulic gradient and pressure
Peeling test	A test method used for geosynthetics, to determine the strength of the joining at the ultrasonic welding area

7. BUSINESS OVERVIEW *(Cont'd)*

7.13 R&D

We may undertake R&D activities internally to improvise our products to remain up to-date with industry development and technologies, and their potential applications. We recognise the importance of R&D to ensure that we remain competitive to sustain our continuous growth.

Our R&D policies are:

(a) Accuracy and timeliness in conducting development and testing activities that comply with specific customer test requirements;

(b) Continuous development of new and improved products within specified time frames; and

(c) Enhancement of staff knowledge through competency training and evaluation.

For FYE 2021 to 2024, we have not undertaken any R&D activities that have led to any new product development and as such, there is no R&D expenses incurred.

7.14 COMPETITIVE STRENGTHS

7.14.1 We have a wide range of products to cater to our customer demands as well as to meet the requirements of different projects

Our Group manufactures and trades a wide range of products. This wide range of products allows us to serve the different needs of customers and provides us with the flexibility to alter our product mix based on project requirements.

We are able to supply different products for a similar type of application and geotechnical solutions such as slope stabilisation, river embankment protection, retaining walls, liquid/ waste-water containment, ground improvement and sediment control. Each product has a different design and different technical specifications that can cater to specific conditions and requirements of a site or project.

For example, we offer products such as erosion control blanket, geocell and soil retaining system panel for erosion control. These products are applied according to the nature of a particular slope such as surface area, surface roughness, soil condition and vegetation. Slopes with a wide surface area and better soil condition typically require the installation of a natural product which is the erosion control blanket. Unvegetated slopes with a rocky surface typically require the installation of a synthetic product such as geocell or soil retaining system panel for soil confinement.

7. BUSINESS OVERVIEW *(Cont'd)*

Similarly, we offer a range of products for other applications which include, amongst others, the following:

Application	Products
River embankment protection	• Turf reinforcement mattress • Sand filled mattress • MSE gabion wall • Gabion and green gabion mattress • Geobag • PVC sheet pile
Retaining walls	• Omega retaining wall • Geogrid • Gabion and green gabion mattress
Liquid/ waste-water containment	• Geosynthetic clay liner • HDPE geomembrane
Ground improvement	• PVD • Non-woven geotextile • Soil stabilising agent
Sediment control	• Silt fence • Silt curtain

Our diversified capabilities and wide range of product offerings allow us to target a large customer base and to participate in a wide range of projects, reducing our dependency on any particular product and/ or customer. It also enables our Group to be flexible in adapting our geotechnical solutions to customers' changing needs and demands.

7.14.2 We have the ability to provide geotechnical solutions across a diverse range of construction segments

We offer our geotechnical solutions to multiple segments of the construction industry such as residential and commercial development, infrastructure development, land reclamation, road construction, railway construction, soil stabilisation, landscaping, and river and coastal protection. We have undertaken projects and supplied our products to all of the aforementioned segments.

The expertise and experience gained from the wide range of projects undertaken will continue to provide our Group with the credentials to participate in a wide range of projects in the future, and at the same time, give us the flexibility to be selective in bidding for projects that yield higher margin. Further, our versatility also reduces the risk of reliance on the performance of any one particular construction segment.

Coupled with a diverse array of product offerings, our diversified capabilities across multiple segments of the construction sector establishes us as a geotechnical solutions provider that can cater to the comprehensive needs of the construction industry. The depth of our product range and breadth of industry segments covered provide us the flexibility and robustness to adapt to customers' changing demands and market conditions.

7. BUSINESS OVERVIEW *(Cont'd)*

7.14.3 We have a well-established history and proven track record of over 26 years in the geotechnical solutions industry

Our Group's history spans over 26 years, during which we have provided geotechnical solutions using geosynthetics, erosion control and/ or biomass products, to various projects such as residential and commercial construction projects, ground and slope repairs, highway expansions, landfill infrastructures, flood barriers and deepening of port navigation channels. For FYE 2021 to 2024 and up to LPD, our Group had secured a total of 249 contracts of which further details are as set out in Section 7.2.3.

Further, we have exported our products to various countries for FYE 2021 to 2024 comprising mainly Singapore, South Korea, Hong Kong, India, UK, Solomon Islands and Thailand, demonstrating the acceptance and demand for our products by overseas customers.

With over 26 years of experience in the geotechnical solutions industry in Malaysia, our Group has also developed in-depth understanding and knowledge of local project requirements, industry standards and regulations, and ground and soil conditions throughout Malaysia. This experience has been critical in helping our Group secure more projects as well as product orders for the on-going expansion of our business.

7.14.4 We have an experienced and technically strong management team

We have an experienced and technically strong management team led by the following Executive Directors:

(a) Ng Kian Boon, our Managing Director and Chief Executive Officer, has approximately 41 years of working experience, with 26 years in geotechnical solutions and related businesses;

(b) Mohd Tarmim Bin Sidek, our Executive Director, has approximately 38 years of working experience, with 35 years in geotechnical solutions and related businesses; and

(c) Ng Chun Hou, our Executive Director, has approximately 13 years of working experience in geotechnical solutions businesses.

Our Executive Directors are supported by the following key senior management:

Name	Designation	Approximate years of relevant working experience
Nadiah Firdaus Binti Mohd Firdaus	Chief Financial Officer	19
Ng Chun Yew	Senior Operation Manager	9
Prem Kamil Bin Ali	Senior Factory Manager	26

Our key senior management have in-depth knowledge and capabilities as a result of the number of years of experience in their respective fields. Further, each of our key senior management takes an active, hands-on role in spearheading their respective departments to support the growth of our Group. As a result, there is a transference of skills and knowledge to employees at all levels in our organisational structure. Their hands-on involvement in our Group demonstrates their strong commitment to our growth as we continue to expand. Please refer to Sections 5.1.2, 5.2.2 and 5.3.3 for further details on the profiles of our Executive Directors and key senior management.

7. BUSINESS OVERVIEW *(Cont'd)*

Since the commencement of our business, we have built an established reputation in the industry through the experience and expertise of our management team, as well as having the ability to consistently provide quality products and services to our customers. The experience and expertise of our management team will enable us to sustain our future growth and continue improving the overall financial performance of our Group.

7.14.5 Our Group's certifications and accreditations demonstrate our commitment to product quality as well as QC

Our Group's commitment to QC is attested by the ISO 9001:2015 QMS certification and ISO 14001: 2004 EMS certification received by our Group for the manufacturing of geosynthetics and erosion control products. Our ISO certifications attest to our emphasis on QC, traceability, consistency and reliability throughout the organisation. It also provides our customers with assurance and confidence that our QC procedures adhere to internationally-recognised quality compliance standards and processes.

In addition, we have also obtained the MS ISO/ IEC 17025:2017 laboratory accreditation from the Department of Standards Malaysia which recognises that our laboratory has met both the technical competence requirements and management system requirements that are necessary for us to consistently deliver technically valid test results, in Malaysia as well as internationally. Our QC laboratory, located in our Rasa Factory, is used to carry out testing for our in-house manufactured products and third-party products. Further details on our accreditation and QC laboratory are as set out in Section 7.12.

Our compliance to internationally-recognised quality and standards, as well as continuous commitment towards enhancing our technical and QC competencies have been instrumental in strengthening our reputation within the industry and will continue to support our Group's future growth and expansion.

7.14.6 We have proven manufacturing capability

Throughout 26 years of experience in the geotechnical solutions industry, we have manufactured a wide range of products, comprising erosion control blanket, turf reinforcement mattress, PVD, coir log, sand filled mattress, geobag, silt fence, silt curtain, gabion and green gabion mattress, MSE gabion wall and composite weed control mat.

Through our experience and industry know-how, we are able to carry out in-house manufacturing of geosynthetics and erosion control products. These products are manufactured to cater to their respective applications based on the different ground and soil conditions as well as project requirements. By manufacturing in-house, we are able to customise the products according to project requirements and reduce our dependency on suppliers for the abovementioned products.

7. BUSINESS OVERVIEW *(Cont'd)*

7.15 BUSINESS STRATEGIES

7.15.1 We intend to expand our offering of erosion control blanket

In anticipation of the increasing demand for biodegradable products for erosion control, our Group intends to introduce a new product, which is a fully biodegradable erosion control blanket using jute netting. Erosion control blankets using jute netting are made from the interwoven fibres of jute plants, a natural material, thus giving rise to higher biodegradable properties, as compared to our existing erosion control blankets which uses photodegradable polypropylene netting which is a form of synthetic material. Given that this erosion control blanket using jute netting is fully biodegradable, it provides our Group with the competitive advantage to compete with other industry players. This aids in maintaining our competitiveness in the industry by offering a wider range of products to customers. As disclosed in Section 7.15.3, we intend to continue expanding our market presence in East Malaysia, in which we intend to secure more contracts to supply erosion control blankets. Hence, it is important for our Group to have the manufacturing capability to capture the demand for erosion control blankets using jute netting should the demand arise.

According to the IMR Report, the continued growth of the geotechnical solutions industry is expected to be driven by the growth in infrastructure development, government budgets and initiatives on infrastructure construction for disaster prevention and environmental conservation, as well as urbanisation which drives the need for new infrastructure and infrastructure upgrades. Premised on the above, our Group anticipates that there will be demand for our erosion control blanket using jute netting, thus supporting our business strategy to expand our offering of erosion control blanket.

To achieve this, we intend to purchase 2 units of erosion control blanket stitching machines for our Rasa Factory, to manufacture erosion control blanket using jute netting. With the new machine, we are also able to enhance our manufacturing efficiency. Further, given that erosion control blankets are biodegradable, our erosion control blankets are manufactured based on orders received for just-in-time delivery. As this new machine can also be used to manufacture our existing type of erosion control blankets (using photodegradable polypropylene netting) as and when required, the new machine will give our Group the additional capacity to secure more contracts should there be a surge in demand for such products.

Besides, as the manufacturing of erosion control blankets uses fibres, it increases the dust-particles in the air and results in poor air quality. Hence, we intend to improve the air quality in our Rasa Factory through the use of multi-filter bags dust collectors whereby it acts as a dust collection system, filtering particle-laden air and turning the dirty air into clean air. To achieve this, we will purchase 4 units of multi-filter bags dust collectors with ducting (i.e. 2 units for our new machine and 2 units for our existing machine) which enables it to connect to the erosion control blanket stitching machine at our Rasa Factory.

The total estimated cost for the purchase of 2 units of erosion control blanket stitching machines and 4 units of multi-filter bags dust collectors is RM4.4 million, to be fully funded from the proceeds of our Public Issue. These machinery will be acquired within 12 months upon Listing.

7. BUSINESS OVERVIEW *(Cont'd)*

7.15.2 We intend to expand our in-house capabilities to include PVD installation

PVDs are installed on soft ground to quicken the consolidation of soft ground thereby reducing construction time and cost. It is often used in the construction of roads, highways and heavily trafficked areas, parking lots and footpaths as the installation of PVDs improves bearing capacity. Our Group has been manufacturing PVDs since 2018 and as at FYE 2024, we have 6 plastic extrusion lines to manufacture PVDs. Nevertheless, we have been engaging subcontractors to carry out PVD installation works at project sites while we manage and oversee the installation works.

As such, we intend to expand our in-house capabilities to include PVD installation through setting up a PVD installation team and purchasing 5 units of hydraulic excavators to be deployed to project sites in various states in Peninsular Malaysia, within 12 months upon Listing. We also intend to hire 10 new employees comprising site manager, excavator operators and general workers for our PVD installation team to be based in Peninsular Malaysia. By having our own PVD installation team to carry out the PVD installation works, we will be able to achieve a better cost control for our projects.

The total estimated cost for the purchase of hydraulic excavators is RM3.2 million, to be fully funded from proceeds of our Public Issue.

7.15.3 We intend to expand our market presence in East Malaysia

Since the commencement of our business in 1999, we have been operating in and serving the market in Peninsular Malaysia. Leveraging on our established presence and track record as well as our operational experience in Peninsular Malaysia, we have successfully penetrated into the market in East Malaysia when we secured our first contract for design and installation works in Sabah in 2017.

Over the years, we continued to expand our presence in East Malaysia by securing more design and installation contracts. For FYE 2021 to 2024 and up to LPD, some of the design and installation contracts that we have secured for projects in East Malaysia are as detailed below:

State	Project description	Scope of work	Contract value (RM million)	Commence-ment date	Completion/ Expected completion date
Sarawak	Proposed construction and completion of the Sarawak Second Trunk Road Package B1: Proposed construction of highway from Sebuyau to Lingga, Samarahan and Sri Aman Division	Design and installation of PVDs	7.7	August 2021	January 2024
Sarawak	Repair and maintenance for hydroseeding works at Baleh, Sarawak	Design and installation of hydroseeding	0.1	June 2022	September 2022
Sarawak	Hydroseeding and maintenance turfing works at Kapit, Sarawak	Design and installation of hydroseeding	0.3	June 2022	September 2022

7. BUSINESS OVERVIEW *(Cont'd)*

State	Project description	Scope of work	Contract value (RM million)	Commence-ment date	Completion/ Expected completion date
Sabah	Slope treatment at Jesselton Hill, Kota Kinabalu, Sabah	Design and installation of erosion control blankets and hydroseeding	0.2	July 2023	July 2023
Sabah	Pan-Borneo Sabah Highway Project: Package 29 – Road upgrading works from Moynod to Sapi Nangoh	Design and installation of erosion control blankets and hydroseeding	4.1	November 2023	December 2025
Sabah	Pan-Borneo Sabah Highway Project - Road upgrading works from Bogawan to Papar (WP04)	Design and installation of erosion control blankets and hydroseeding	3.9	November 2023	December 2025
Sabah	Pan-Borneo Sabah Highway Project : Package 28 – Road upgrading works from Sandakan to Mile 32 to Moynod	Design and installation of erosion control blankets and hydroseeding	7.5	December 2023	December 2025
Sabah	Proposed maintenance works for 121 rooms at Gaya Island Resort	Design and installation of geobags	0.04	January 2024	January 2024
Sabah	Upgrading works for water supply system including storage tank in Sandakan	Design and installation of erosion control blankets and hydroseeding	0.4	March 2024	December 2024
Sabah	Pan-Borneo Sabah Highway Project: Package 30 – Road upgrading works from Sapi Nangoh to Sg. Baota	Design and installation of erosion control blankets and hydroseeding	2.4	May 2024	August 2025
Sabah	Hydroseeding works for Perusahaan Limau Limauan	Design and installation of hydroseeding	0.1	June 2024	December 2024
Sabah	Upgrading works for Jalan Cheng Ho, 4.181KM Sandakan	Design and installation of hydroseeding	0.1	July 2024	July 2024

7. BUSINESS OVERVIEW *(Cont'd)*

State	Project description	Scope of work	Contract value (RM million)	Commence-ment date	Completion/ Expected completion date
Sabah	Road upgrading works - Jalan Kemabong - Rundum, Tenom	Design and installation of hydroseeding	1.0	October 2024	February 2025

According to the IMR Report, the Government had, under Budget 2024 and 2025, announced several infrastructure projects in East Malaysia, such as the construction of Phase 1B Sabah Pan-Borneo Highway project worth RM15.7 billion, construction of Phase 2 Sarawak-Sabah Link Road project worth RM7.4 billion and expansion of Tawau Airport, Sabah and Miri Airport, Sarawak worth RM253.0 million, which is expected to drive the demand for geotechnical solutions.

Given the prospects in East Malaysia, coupled with our purchase of erosion control blanket stitching machines as detailed in Section 7.15.1, we believe that we are well-positioned to capture the demand in East Malaysia arising from the abovementioned projects. Consequently, this will aid in expanding our customer base and enhancing our market presence in East Malaysia, thereby driving the continued growth of our business and financial performance.

Further, we have also established our in-house installation team in East Malaysia to support all our design and installation projects in East Malaysia. As at LPD, our in-house installation team in East Malaysia comprises 8 employees to cater for our existing project needs.

As at LPD, our Group does not occupy any business premises in East Malaysia for our business operation. Therefore, no licence is required by our Group for business operations or project sites in East Malaysia, save for the CIDB licence and CIDB construction personnel cards issued by CIDB as detailed in Section 6.7(g).

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8. IMR REPORT

SMITH ZANDER INTERNATIONAL SDN BHD 201301028298 (1058128-V)
15-01, Level 15, Menara MBMR, 1 Jalan Syed Putra, 58000 Kuala Lumpur, Malaysia
T : +603 2732 7537 W : www.smith-zander.com

SMITH ZANDER

Date: 19 MAR 2025

The Board of Directors

Fibromat (M) Berhad
Wisma Fibromat
574, Jalan Samudra Utara 1
Taman Samudra
68100 Batu Caves
Selangor

Dear Sirs/Madams,

Independent Market Research Report on the Geotechnical Solutions Industry in Malaysia ("IMR Report")

This IMR Report been prepared by SMITH ZANDER INTERNATIONAL SDN BHD ("SMITH ZANDER") for inclusion in the Prospectus in conjunction with the initial public offering and listing of Fibromat (M) Berhad on the ACE Market of Bursa Malaysia Securities Berhad.

The objective of this IMR Report is to provide an independent view of the industry and market(s) in which Fibromat (M) Berhad and its subsidiary ("Fibromat Group") operate and to offer a clear understanding of the industry and market dynamics. Hence, the scope of work for this IMR Report will thus address the geotechnical solutions industry in Malaysia.

The research process for this study has been undertaken through secondary or desktop research, as well as detailed primary research when required, which involves discussing the status of the industry with leading industry participants and industry experts. Quantitative market information could be sourced from interviews by way of primary research and therefore, the information is subject to fluctuations due to possible changes in business, industry and economic conditions.

SMITH ZANDER has prepared this IMR Report in an independent and objective manner and has taken adequate care to ensure the accuracy and completeness of the report. We believe that this IMR Report presents a balanced view of the industry within the limitations of, amongst others, secondary statistics and primary research, and does not purport to be exhaustive. Our research has been conducted with an "overall industry" perspective and may not necessarily reflect the performance of individual companies in this IMR Report. SMITH ZANDER shall not be held responsible for the decisions and/or actions of the readers of this report. This report should also not be considered as a recommendation to buy or not to buy the shares of any company or companies as mentioned in this report.

For and on behalf of SMITH ZANDER:

DENNIS TAN
MANAGING PARTNER

SMITH ZANDER

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The research for this IMR Report was completed on 13 March 2025.

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About SMITH ZANDER INTERNATIONAL SDN BHD

SMITH ZANDER is a professional independent market research company based in Kuala Lumpur, Malaysia, offering market research, industry intelligence and strategy consulting solutions. SMITH ZANDER is involved in the preparation of independent market research reports for capital market exercises, including initial public offerings, reverse takeovers, mergers and acquisitions, and other fund-raising and corporate exercises.

Profile of the signing partner, Dennis Tan Tze Wen

Dennis Tan is the Managing Partner of SMITH ZANDER. Dennis Tan has over 27 years of experience in market research and strategy consulting, including over 22 years in independent market research and due diligence studies for capital markets throughout the Asia Pacific region. Dennis Tan has a Bachelor of Science (major in Computer Science and minor in Business Administration) from Memorial University of Newfoundland, Canada.

SMITH ZANDER

1 OVERVIEW OF THE GEOTECHNICAL SOLUTIONS INDUSTRY IN MALAYSIA

Introduction

Geotechnical solutions refer to the provision of design and installation solutions for various geotechnical and civil engineering applications to manage and address challenges related to the performance of soil. Fibromat Group is principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. As such, the geotechnical solutions industry in the context of this report refers to geotechnical solutions provided for the purpose of erosion control, ground improvement, as well as sediment control, filtration and containment lining.

Geotechnical solutions are aimed at ensuring the stability and integrity of soil, and consequently the safety of infrastructure and properties built on it. Generally, these solutions are adopted in engineering and construction projects to prevent soil erosion caused by natural elements or human activities; improve soil condition and fertility; modify ground properties in terms of strength, stability, capacity or density; improve moisture retention or permeability; promote the growth of vegetation; assist with drainage; prevent seepage and pollution; filter sediments; and manage water quality and for environmental protection. Geotechnical solutions may also be performed for landscaping or beautification purposes; and can be temporary, medium-term or permanent.

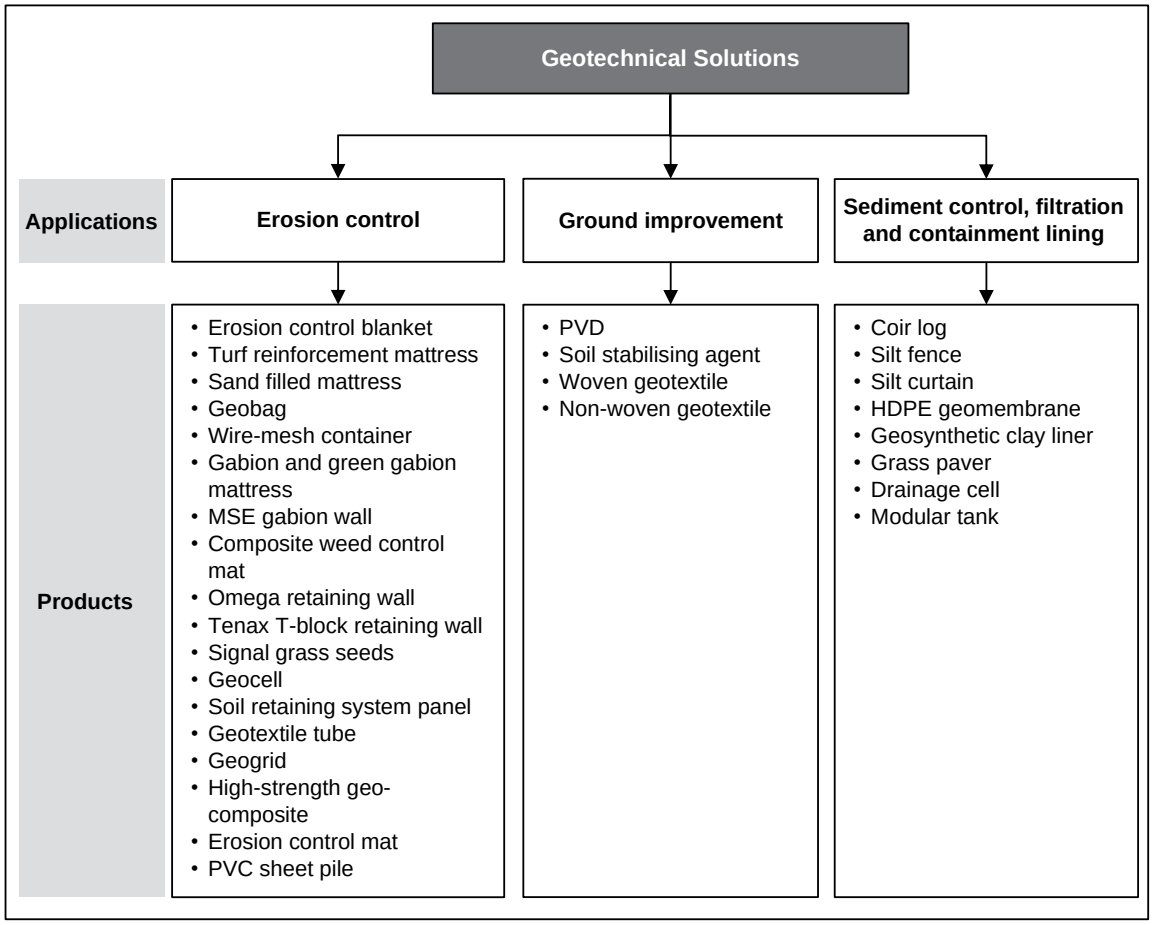
Geotechnical solutions designed for the application of erosion control, ground improvement, as well as sediment control, filtration and containment lining are further described below:

- Erosion control comprises engineering techniques administered to maintain soil stability, reduce the risk of flood and landslides, prevent damage to infrastructure and properties, protect water quality and preserve natural habitats. Erosion can be caused by natural elements such as wind or water, as well as human activity such as construction, agriculture, deforestation and mining. Some examples of erosion control techniques include vegetative cover (e.g. using erosion control blankets), hydroseeding and hydromulching (e.g. using signal grass seeds) and installing retaining walls;
- Ground improvement comprises engineering techniques administered to improve the properties of the soil to increase its strength and load-bearing capacity to withstand the weight on its surface, densify soil to improve soil strength and compactness and to reduce soil settlement (i.e. downward movement of the soil when load is applied on it), and decrease permeability of water to reduce soil movement. Some examples of ground improvement techniques include installing prefabricated vertical drains ("PVD") that act as drainage paths for excess pore water in soft compressible soil to escape thus accelerating the soil consolidation process, mixing of soil with other mediums to increase soil mass, densifying soil by mechanically reducing its void ratio and increasing its relative soil density, injecting fluid material to fill voids, and installing geotextiles to provide tensile strength and enhance load-bearing capacity as well as separate different soil layers to prevent mixing thus maintaining the stability of soil; and
- Sediment control, filtration and containment lining comprises engineering techniques administered to prevent soil particles and sediment from flowing into bodies of water which causes pollution and flooding, remove suspended particles and contaminants from water as it passes through a filtration medium, and/or to ensure the integrity and stability of containment structures, landfills, ponds, and reservoirs, and reduces the risk of environmental contamination and groundwater pollution. Some examples of sediment control, filtration and containment lining techniques include the use of silt fences or coir logs to capture sediment-laden water and surface run-off, silt curtains to capture and retain suspended particles and contaminants while allowing water to pass through, and installation of impermeable barriers such as geomembranes or geosynthetic clay liners to contain fluids, prevent seepage and protect underlying soil and groundwater from contamination or degradation.

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Segmentation of geotechnical solutions by applications and products used

The segmentation of geotechnical solutions by applications and the products used is as follows:



Note:

- *The examples above are not exhaustive. These are products offered by Fibromat Group.*

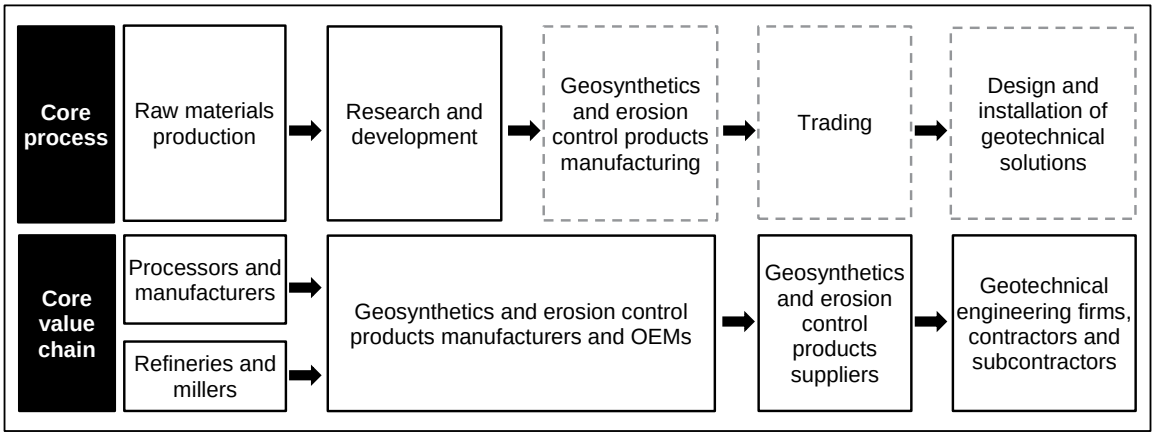
Source: SMITH ZANDER

Geotechnical solutions may either precede other civil and structural works related to the construction of buildings or infrastructure, or may be conducted after construction as a form of remediation. Different solutions may be adopted to suit a variety of applications in civil engineering, construction and environmental protection such as different terrains, slopes, coastal beaches, riverbanks, embankments, ponds and tanks. The provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining generally utilises the following type of materials:

- **Synthetic materials** such as polypropylene, polyester, polyethylene and polyvinyl chloride are polymers or hydrocarbon chains that are derived from petrochemicals, which are by-products of crude oil refining. Some examples of products made from synthetic materials include woven geotextiles, non-woven geotextiles, geobags, geogrids, geomembranes, geocells and soil retaining system panels. These products are used for medium-term and permanent applications, as they are less susceptible to biodegradation;
- **Natural or biodegradable materials** comprise the use of natural biomass substrates such as palm fibre, coconut fibre and paddy straw, to allow the natural materials to biodegrade over time, consequently improving soil fertility and promoting vegetation growth; and
- **Composite materials** comprise the combined use of synthetic materials with other materials such as natural/biodegradable materials, clay or concrete. Some examples of composite materials include erosion control blankets, turf reinforcement mattresses, coir logs, MSE gabion walls and geosynthetic clay liners.

Value chain of the geotechnical solutions industry

The value chain of the geotechnical solutions industry in Malaysia is as follow:



Note:

- *denotes the involvement of Fibromat Group in the value chain of the geotechnical solutions industry.*

Source: SMITH ZANDER

The geotechnical solutions industry value chain involves multiple core processes, namely raw materials production, research and development, geosynthetics and erosion control products manufacturing, trading, as well as design and installation of geotechnical solutions using geosynthetics and erosion control products:

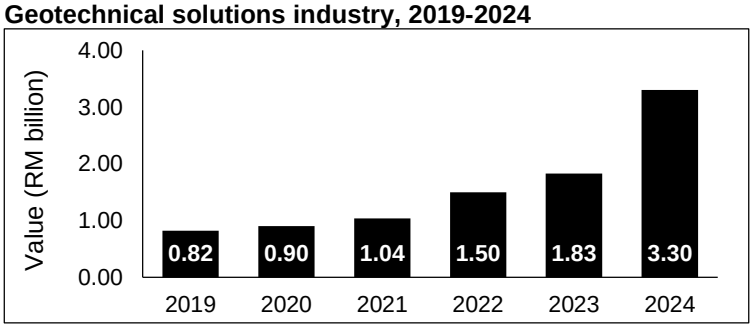
- **Raw materials production** - Carried out by processors and manufacturers that are involved in extracting, processing and/or manufacturing synthetic materials or soil materials such as polypropylene, polyester, polyethylene and polyvinyl chloride, concrete and clay. This segment also includes refineries and millers that produce natural biomass substrates such as palm fibre, coconut fibre and paddy straw, which are by-products from milling of oil palm, coconut and paddy;
- **Research and development** - Performed by geosynthetics and erosion control products manufacturers and original equipment manufacturers ("OEMs") to improvise existing or introduce new geosynthetic technologies and products;
- **Geosynthetics and erosion control products manufacturing** – Geosynthetics and erosion control products manufacturers manufacture their own products in-house and sell it to geosynthetics and erosion control products suppliers for onward sale, or directly to contractors and subcontractors. OEMs are manufacturers appointed by product owners to manufacture geosynthetics and erosion control products according to the specifications provided by product owners;
- **Trading** – Geosynthetics and erosion control products suppliers purchase from manufacturers for onward sale to geotechnical engineering firms, contractors and subcontractors. These suppliers typically have the required technical expertise to market and trade the products; and
- **Design and installation** - Geotechnical engineering firms play an important role in the implementation of geotechnical solutions whereby they assess and analyse the soil properties, geological features and subsurface conditions to design geotechnical solutions that are tailored to the specific ground conditions and project requirements. Geotechnical engineering firms may have their own construction arm or may collaborate with contractors/subcontractors to carry out the installation of geosynthetics and erosion control products according to their engineering design.

The geotechnical solutions industry in Malaysia comprises industry players who are involved in the manufacturing of geosynthetics and erosion control products, and industry players who are involved in the implementation of geotechnical solutions which utilise these products. Fibromat Group is involved in both geosynthetics and erosion control products manufacturing and geotechnical solutions implementation.

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Industry Performance, Size and Growth

Geotechnical solutions industry, 2019-2024



Note:
- The industry size may also include figures of other geotechnical works which Fibromat Group may not provide such as blasting and rock removal work, earthworks, excavation, digging of conventional ditches, land recreation works and other earthmoving work services.

Sources: Department of Statistics Malaysia ("DOSM"), SMITH ZANDER

Civil engineering is a discipline that deals with the overall design, construction and maintenance of infrastructure such as roads, railways, bridges, tunnels, reservoirs, irrigation systems, sewer systems, waterways, dams and structural components of buildings. On the other hand, geotechnical engineering is a discipline within civil engineering that focuses on managing and addressing challenges related to the performance of soil, which are aimed at ensuring the stability and integrity of soil, and consequently the safety of infrastructure and properties built on it. Hence, the geotechnical solutions industry is part of civil engineering sub-sector.

The geotechnical solutions industry size in Malaysia, measured based on the value of work done[1], grew from RM0.82 billion in 2019 to RM3.30 billion in 2024. Overall, the geotechnical solutions industry in Malaysia demonstrated a healthy growth from 2019 to 2024, registering a compound annual growth rate ("CAGR") of 32.11%. Moving forward, SMITH ZANDER estimates the geotechnical solutions industry size to increase by 13.64% year-on-year ("YOY") to reach RM3.75 billion in 2025.

Moving forward, the continued growth of the industry is expected to be driven by the growth in infrastructure development, government budgets and initiatives on infrastructure construction for disaster prevention and environmental conservation, as well as urbanisation which drives the need for new infrastructure and infrastructure upgrades, in which further details are as set out in *Chapter 2 – Key demand drivers*.

2 KEY DEMAND DRIVERS, RISKS AND CHALLENGES

Key Industry Drivers

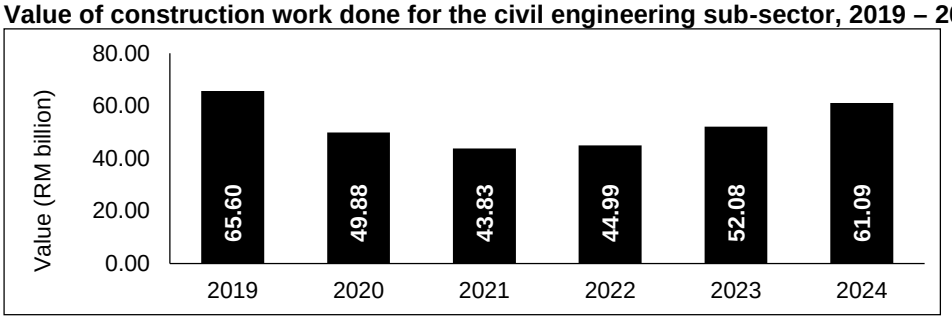
► **Infrastructure development drives growth in the geotechnical solutions industry**

The geotechnical solutions industry is particularly impacted by infrastructure development as infrastructure construction activities require substantial use of geotechnical solutions. Infrastructure construction activities is represented by the civil engineering sub-sector as civil engineering works encompass construction activities for roads, railways, bridges, tunnels, reservoirs, irrigation systems, sewer systems, waterways, harbour and river works, pleasure ports (marinas), locks, dams and dykes, and dredging of waterways, amongst others. These activities generally require geotechnical solutions to manage and address challenges related to the performance of soil prior to construction in order to ensure the stability and integrity of soil, and consequently the safety of infrastructure built on it. As such, the growth of the civil engineering sub-sector will be the main driver for the geotechnical solutions industry.

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[1] The measurement of value of work done is a methodology adopted by DOSM to measure the cost of a construction project undertaken by construction companies. As defined by DOSM, the value of work done includes new construction, major repairs, repairs, renovations and repairs, and current maintenance carried out during the reference period for the project owner or investor. Given that the cost of a construction project generally includes product costs and labour costs, it can be deduced that the value of work done covers the value of geotechnical solution products. However, the industry size relating to the trading of geotechnical products (excluding construction work done) is not publicly available.

Value of construction work done for the civil engineering sub-sector, 2019 – 2024



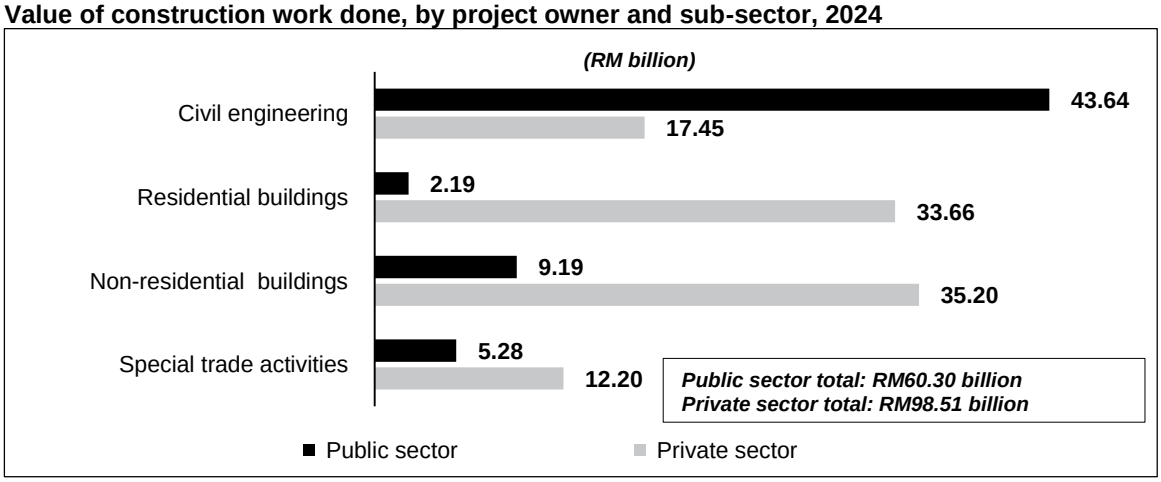
Source: DOSM

The civil engineering sub-sector, measured by value of construction work done declined from RM65.60 billion in 2019 to RM43.83 billion in 2021. The value of construction work done for 2020 and 2021 was impacted by the overall slowdown in construction activities following the outbreak of the COVID-19 pandemic and the prioritisation of funding for the healthcare sector in response to the COVID-19 pandemic, as well as financial relief to support individuals and businesses during the pandemic to drive economic recovery.

Further, the reprioritisation of certain mega infrastructure projects such as the cancellation of the Kuala Lumpur-Singapore High-Speed Rail and postponement of the mass rapid transit line 3 (MRT 3), which arose from political uncertainties and resulted in the subsequent re-evaluation of projects due to budget constraints, had also affected the value of construction work done recorded in 2020 and 2021. Notwithstanding that, the construction work done for the civil engineering sub-sector recovered by 2.65% YOY in 2022 and continued to grow to RM61.09 billion in 2024, recording a CAGR of 11.70% from 2021 to 2024. The growth was backed by normalised construction activities and continued spending by the Government of Malaysia ("Government") on existing infrastructure projects such as continuation of the construction of Phase 1 Sabah Pan Borneo Highway project, Phase 1 Sarawak-Sabah Link Road project and Johor Bahru-Singapore Rapid Transit System (RTS) Link project, as well as new infrastructure project such as Phase 1 expansion of the North-South Expressway project from Yong Peng Utara to Senai Utara. SMITH ZANDER estimates the construction work done for the civil engineering sub-sector to grow by 6.63% YOY in 2025.[2]

The growth of the civil engineering sub-sector is underpinned by funding from the public sector (i.e. Government and public corporation) as infrastructure is constructed and upgraded to drive economic development of the country as well as for the well-being of the nation. This is evidenced by the high contribution from the public sector in the civil engineering sub-sector in terms of value of construction work done.

Value of construction work done, by project owner and sub-sector, 2024

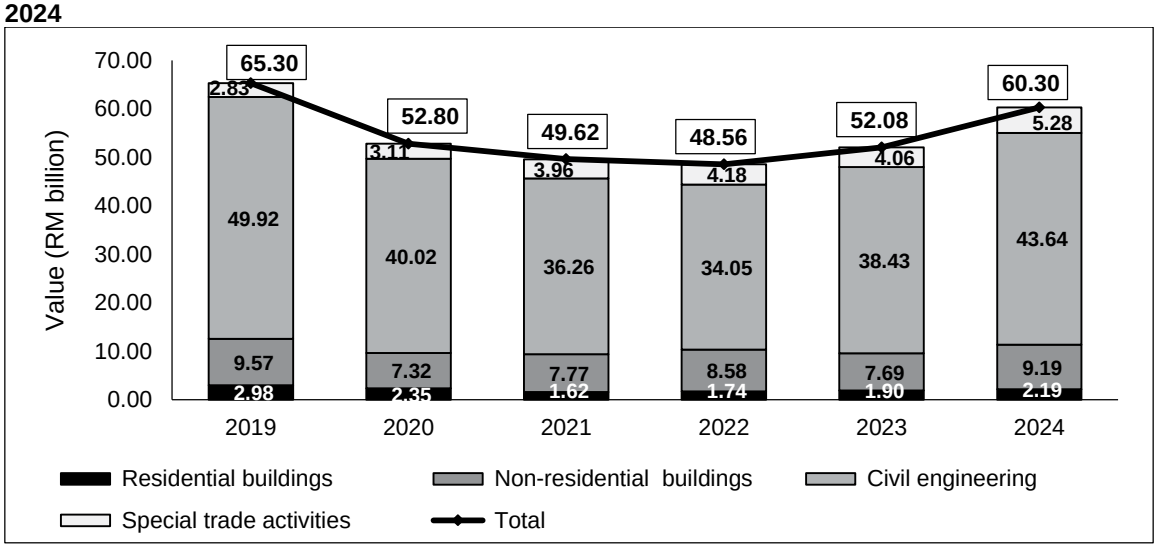


Sources: DOSM, SMITH ZANDER

[2] The basis of estimation is based on the computation of average percentage share of value of construction work done to construction GDP, multiplied with the forecasted construction GDP for 2025.

In 2024, the total value of construction work done for the civil engineering sub-sector was recorded at RM61.09 billion. Out of the RM61.09 billion, RM43.64 billion, or 71.44%, was value of construction work done for the civil engineering sub-sector by the public sector through government spending. This is in contrast to the private sector whereby the total value of work done for the civil engineering sub-sector contributed RM17.45 billion, or 28.56%.

Value of construction work done for projects owned by the public sector, by sub-sector, 2019 – 2024



Sources: DOSM, SMITH ZANDER

Further, between 2019 and 2024, the civil engineering sub-sector remained the highest contributor to the value of construction work done recorded for projects owned by the public sector whereby it contributed between 70.12% to 76.45% of the total value of construction work done for projects owned by the public sector. This demonstrates that public spending for construction activities was primarily allocated to the civil engineering sub-sector to drive the country's infrastructure development.

Going forward, the infrastructure construction activities of the country will continue to be driven by various infrastructure projects announced under Budget 2024 such as the following:

- construction of Phase 1B Sabah Pan Borneo Highway project worth RM15.70 billion;
- construction of Phase 2 Sarawak-Sabah Link Road project worth RM7.40 billion;
- maintenance of state roads and infrastructure including damaged drainage, slopes and bridges worth RM5.40 billion;
- construction and upgrade of roads in villages and rural areas worth RM1.63 billion;
- Phase 2 expansion of the North-South Expressway from Sedenak to Simpang Renggam worth RM931 million; and
- construction of the Penang to Seberang Perai Light Rail Transit ("LRT") worth RM10 billion.

Some of the infrastructure construction projects announced under Budget 2025 are as follows:

- continuation of Phase 1B Sabah Pan Borneo Highway project, covering Kota Belud to Kudat, Tawau to Kampung Lot M, and Telupid to Ranau, in which letters of acceptance have been issued for 17 work packages worth RM9.70 billion;
- finalisation of Phase 2 Sarawak-Sabah Link Road project worth RM7.40 billion;
- Tawau Airport, Sabah and Miri Airport, Sarawak expansion projects worth RM253 million; and
- Maintenance of state roads, including damaged drainage, slopes and bridges due to disasters, as well as procurement of temporary Bailey bridges for all State Government worth RM5.50 billion.

Consequently, these infrastructure projects are expected to drive the demand for geotechnical solutions in the upcoming years. Hence, the continued public spending by the Government on infrastructure projects to support national development and progress will drive the growth of the civil engineering sub-sector which, in turn, is expected to drive the demand for geotechnical solutions.

► **Government budgets and initiatives on infrastructure construction for disaster prevention and environmental conservation will generate demand for geotechnical solutions**

The growth of the geotechnical solutions industry in Malaysia is tied to the growth of the construction industry and as such, government budgets and initiatives relating to infrastructure construction will also benefit the geotechnical solutions industry in Malaysia. In addition to the infrastructure projects announced to drive economic activities as mentioned in the key demand driver above, the Government also announced infrastructure projects that are aimed at disaster prevention and environmental conservation which will also generate demand for geotechnical solutions. In recent years, the occurrence of landslides has become more frequent in Malaysia due to soil erosion caused by heavy and continuous rainfall. Examples of major landslides that have occurred since 2020 are as follows:

Date	Location
March 2020	• Mount Jerai, Kedah
May 2020	• Taman Kelab Ukay, Bukit Antarabangsa, Selangor
January 2021	• Old Bentong-Raub road, Pahang
September 2021	• Kemesah Heights, Ampang, Selangor
December 2021	• Simpang Pulai-Blue Valley, Cameron Highlands, Pahang
March 2022	• Taman Bukit Permai, Ampang, Selangor
May 2022	• Kampung Janda Baik, Bentong, Pahang • Taman Sri Perkasa, Ipoh
June 2022	• Jalan Tun Dr Ismail, Taman Bukit Sentosa, Seremban, Negeri Sembilan
November 2022	• Jalan Mantin Batu 8, Negeri Sembilan
December 2022	• Father's Organic Farm, Batang Kali, Selangor (near Genting Highlands)
June 2023	• Jalan Simpang Pulai-Blue Valley, Perak
October 2023	• Kampung Sungai Ruil Hill, Cameron Highlands, Pahang
November 2023	• Rumah Imban, Ulu Ranan, Sibu, Sarawak
December 2023	• Taman Wawasan Puchong, Selangor
January 2024	• Jalan SP2, Bandar Saujana Putra in Kuala Langat, Selangor • Taman Yong, Selirik, Kapit, Sarawak • Kampung Raja, Blue Valley, Pahang
March 2024	• Jalan Sungai Kelambu, Banting, Selangor
April 2024	• Sungai Merurun, Pakan, Sarawak • Jalan Amut, Pakan, Sarawak
June 2024	• Mount Kinabalu at Ulu Sungai Mesilou area, Kundasang, Sabah
July 2024	• Madsiang-Kipouvo Road at Penampang, Sabah
August 2024	• Taman Bunga Raya, Setapak, Kuala Lumpur
September 2024	• Taman Mas, Puchong, Selangor • Sungai Burung, Brinchang, Pahang
October 2024	• Taman Melawati, Ampang, Selangor
December 2024	• Jalan Gua Musang-Jeli, Gua Musang, Kelantan

Source: Various sources

Landslides result in fatalities or injuries, as well as economic costs due to the destruction of buildings and infrastructure. As such, the awareness for geotechnical solutions is growing to ensure the safety of buildings and infrastructure. Under Budget 2024, the Government announced the following projects, aimed at disaster prevention and environmental conservation, which are expected to drive the demand for geotechnical solutions:

- Allocation of RM11.80 billion for 33 high priority Flood Mitigation Projects which comprise construction works such as widening and deepening of riverbed, strengthening of riverbanks, upgrading of drainage systems, as well as construction of flood prevention structures such as river embankment, tires, flood retaining walls, flood bunds or river diversions, sluice gates, flood storage dams and flood attenuation ponds to prevent flooding and/or soil erosion;
- Allocation of RM563 million to maintain and repair slopes nationwide for landslide prevention;
- Allocation of RM70 million for flood preparedness for local authorities whereby RM20 million will be used to upgrade drainage and repair damaged drains and RM50 million will be used to repair flood retention ponds; and

- Allocation of RM185 million for river upgrading, cleaning and treatment programme to conserve rivers and reduce flood risks for Sungai Tuaran Conservation Project in Sabah and River Conservation Projects in Federal Territory of Kuala Lumpur.

Further, the following projects were announced under Budget 2025:

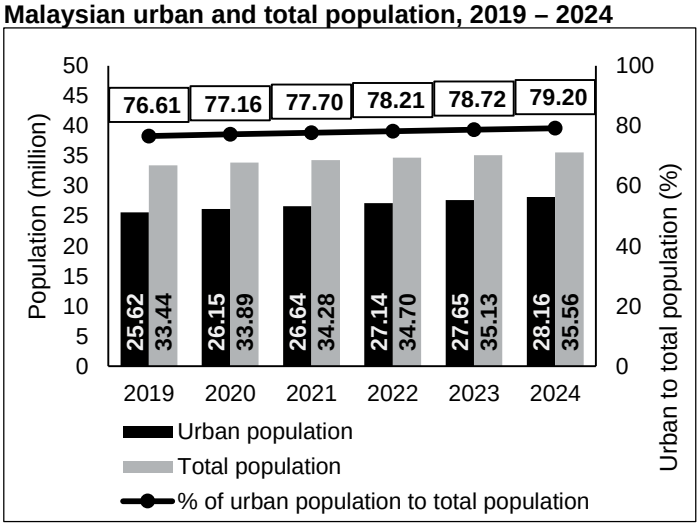
- Continuation of the Flood Mitigation Projects with an allocation of RM3 billion for 12 projects;
- Allocation of RM251 million for landslide and slope mitigation and repair programmes across Malaysia; and
- Allocation of RM21 million to curb issue of soil slips in Kerian Laut-Perak, Kedah and Perlis.

► **Urbanisation drives the need for new infrastructure and infrastructure upgrades**

Rural to urban migration in Malaysia continues to increase due to the availability of education and employment opportunities, and people's desire to seek higher standards of living in cities and other urban areas.

In 2024, urban population accounted for an estimated 79.20% of the total population in Malaysia and has been steadily increasing from 76.61% in 2019. As individuals migrate to urban areas, urban population expands, thus driving increased economic activities. Consequently, it is expected to result in a concurrent increase in demand for residential, commercial and industrial properties due to the increase in the average income of the population as well as business activities. As these construction sub-segments (i.e. residential, commercial and industrial) develop, the infrastructure and social amenities supporting these developments must be likewise built or improved.

Malaysian urban and total population, 2019 – 2024



Sources: World Bank, SMITH ZANDER

This, in turn, drives the demand for geotechnical solutions to support land development activities to cater for the construction of these properties.

Industry Risks and Challenges

► **Political uncertainties or changes in government policies may adversely affect public spending on major infrastructure projects, which may affect the demand for geotechnical solutions**

Political uncertainties or changes in government policies may adversely affect public spending whereby the government may review major infrastructure projects in terms of benefits and cost-effectiveness for the nation as a whole. Upon studying the feasibility of major infrastructure projects, the projects may be cancelled if they are deemed not viable, or delayed, which affects opportunities for construction and geotechnical solution providers. For instance, changes in government policies in 2018, due to high national debt, led to the cancellation or postponement of several mega infrastructure projects. However, some of these mega infrastructure projects were later revived by further policy changes.

The growth in the geotechnical solutions industry is highly correlated to the growth of the civil engineering sub-sector, which is dependent on spending from the public sector. Hence, any political uncertainties or changes in government policies which results in the reduction of government spending on infrastructure development may adversely affect the demand for geotechnical solutions.

3 COMPETITIVE LANDSCAPE OF THE GEOTECHNICAL SOLUTIONS INDUSTRY IN MALAYSIA

Overview

The geotechnical solutions industry in Malaysia comprises local-based and foreign-based industry players that are solely involved in the provision of geotechnical solutions, and industry players that are involved in the provision of geotechnical solutions as well as other construction related activities such as civil engineering and infrastructure construction. Some of these industry players may also be involved in the manufacturing of certain geosynthetics and erosion control products whereby the products are applied in their projects, or they may sell it to other geotechnical engineering firms, contractors, subcontractors for project application, or to geosynthetics and erosion control products suppliers (i.e. trading companies). Further, due to the nature of the industry, there are instances where general construction contractors will secure projects from project owners and subcontract the geotechnical works to subcontractors who have the required technical capabilities to carry out design and installation works.

The barriers to entry to the geotechnical solutions industry include the ability of a provider to obtain a Construction Industry Development Board Malaysia (CIDB) license, hire experienced employees with relevant technical expertise, compete with existing industry players who have in-depth industry knowledge and vast experience, as well as have strong financial standing to sustain upfront costs required to commence installation works and to sustain operational costs due to the industry practise of receiving payments on credit terms, on work done basis.

Key Industry Players

Fibromat Group is principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. Hence, the basis for selection of key industry players is as set out below:

- Industry players who are involved in the provision of geotechnical solutions related to erosion control, ground improvement, and/or sediment control, filtration and containment lining are included as competitors to Fibromat Group. The identified industry players may also be involved in the manufacturing of geosynthetics and erosion control products; and
- General construction contractors who secure projects from project owners and subcontract the geotechnical works to subcontractors, as well as industry players who are solely involved in the trading of geosynthetics and erosion control products are excluded as competitors to Fibromat Group on the basis that they do not have similar technical capabilities as Fibromat Group.

The following sets out the latest available financial information of the selected key industry players in Malaysia:

Company name	Principal business activities	Latest financial year	Revenue (RM million)	Gross profit/ (loss) (RM million)	Gross profit/ (loss) margin (%)	Net profit/ (loss) (RM million)	Net profit/ (loss) margin (%)
Solmax Geosynthetics Asia Sdn Bhd(1) (formerly known as TenCate Geosynthetics Asia Sdn Bhd)	Provision of geotechnical solutions, as well as manufacturing and supply of geosynthetics and industrial technical textiles	31 December 2023	189.09	78.95	41.75	15.12	8.00
Maccaferri (Malaysia) Sdn Bhd(2)	Provision of geotechnical solutions, as well as manufacturing and supply of geosynthetics, erosion control products and steel wire meshes	31 December 2023	105.98	29.16	27.51	5.90	5.57

Company name	Principal business activities	Latest financial year	Revenue (RM million)	Gross profit/ (loss) (RM million)	Gross profit/ (loss) margin (%)	Net profit/ (loss) (RM million)	Net profit/ (loss) margin (%)
Fibromat Group	Provision of design and installation of geotechnical solutions, manufacturing and sale of in-house products, and trading of geosynthetics and erosion control products	31 December 2024	75.46	20.71	27.45	9.97	13.21
Wil-Key International Sdn Bhd[3]	Supply of geosynthetics and erosion control products, provides installation of geomembranes, and manufacturing of geomembrane seaming and seam testing equipment	31 December 2023	55.52	12.21	21.99	4.62	8.32
NAUE Asia Sdn Bhd[4]	Provision of geotechnical solutions, as well as manufacturing and supply of geosynthetics and erosion control products	31 December 2023	38.17	15.52	40.66	0.28	0.73
CeTeau Malaysia Sdn Bhd[5]	Provision of geotechnical solutions, as well as manufacturing and supply of geosynthetics and erosion control products. The company is also involved in the provision of biogas solutions	31 December 2023	27.21	8.90	32.71	3.05	11.21
Huls Engineering Sdn Bhd[6]	Provision of geotechnical solutions and waterproofing solutions	31 December 2023	26.99	9.84	36.46	0.08	0.30
Geoquest Solutions Malaysia Sdn Bhd (formerly known as Reinforced Earth Malaysia Sdn Bhd[7])	Provision of geotechnical solutions, as well as solutions for civil engineering and infrastructure construction	31 December 2023	18.94	4.39	23.18	0.11	0.58
Geopakar Engineering Sdn Bhd[8]	Provision of geotechnical solutions, as well as other services such as guniting, soil nailing, rock drilling and grouting works	31 December 2023	8.96	0.80	8.93	(1.65)	(18.42)

8. IMR REPORT *(Cont'd)*

Company name	Principal business activities	Latest financial year	Revenue (RM million)	Gross profit/ (loss) (RM million)	Gross profit/ (loss) margin (%)	Net profit/ (loss) (RM million)	Net profit/ (loss) margin (%)
GTEK Resources Sdn Bhd[9]	Provision of geotechnical solutions	31 July 2024	4.0	0.81	20.45	(0.44)	(11.11)

Notes:

- *The key identified geotechnical solutions industry players include all industry players that were identified by SMITH ZANDER based on sources available, such as the internet, published documents and industry directories. However, there may be companies that have no online and/or published media presence, or are operating with minimal public advertisement, and hence SMITH ZANDER is unable to state conclusively that the list of industry players is exhaustive. Further, in instances where the identified industry players are private exempt companies, they are also excluded from the table above.*

(1) Solmax Geosynthetics Asia Sdn Bhd is a subsidiary of Groupe Solmax Inc., a company incorporated in Canada. Groupe Solmax Inc. is a multinational company with offices and market presence globally.

(2) Maccaferri (Malaysia) Sdn Bhd is a subsidiary of Officine Maccaferri S.p.A., a company incorporated in Italy. Officine Maccaferri S.p.A. is a multinational company with offices and market presence globally.

(3) The principal markets of Wil-Key International Sdn Bhd are Asia, Russia and Australia.

(4) NAUE Asia Sdn Bhd is a subsidiary of Naue GmbH & Co. KG, a company incorporated in Germany. Naue GmbH & Co. KG is a multinational company with offices and market presence in Europe, the United States and Malaysia.

(5) CeTeau Malaysia Sdn Bhd is a subsidiary of CeTeau B.V., a company incorporated in the Netherlands. CeTeau B.V. is a multinational company with offices and market presence in North America, Europe, Asia and Oceania.

(6) The principal market of Huls Engineering Sdn Bhd is Malaysia.

(7) Geoquest Solutions Malaysia Sdn Bhd (formerly known as Reinforced Earth Malaysia Sdn Bhd) is a subsidiary of Soletanche Freyssinet SAS, a company incorporated in France. Soletanche Freyssinet is a multinational company with offices and market presence globally.

(8) The principal market of Geopakar Engineering Sdn Bhd is Malaysia.

(9) The principal market of GTEK Resources Sdn Bhd is Malaysia.

Sources: Various company websites, SSM, Fibromat Group, SMITH ZANDER

There are also listed companies in Malaysia that are primarily foundation and civil engineering companies that provide geotechnical solutions to complement their offerings. However, the range and scope of geotechnical solutions provided by these listed companies are not identical to Fibromat Group. Some examples of such listed companies are as follows:

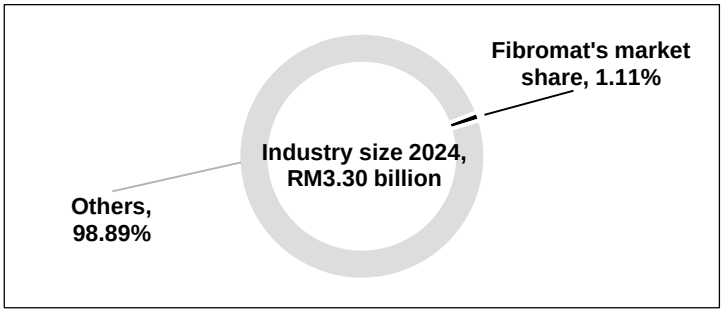
Listed company name	Principal business activities	Services similar to Fibromat Group
Econpile Holdings Berhad	• Provides foundation and geotechnical works such as cast-in-situ bored piles, driven and jack-in piles, micropile, earth retaining system, lateral support system, slope protection and stabilisation, and ground improvement works • Provides civil engineering works such as earthwork and basement excavation, and infrastructure works • Provides structure works such as pile cap, basement slabs, top-down construction, temporary steel platform and staging, and bridges	Slope protection and stabilisation, and ground improvement works
TCS Group Holdings Berhad	• Provides geotechnical works such as soil investigation, soil and ground improvement, slope stabilisation and protection, ground anchor and steel strutting • Provides piling works such as bored piles, driven and jack-in piles, and micropile • Provides basement structure works such as excavation of basement, pile cap and basement beam/slab, and top down construction • Provides earth retaining structure works such as contiguous bored pile, secant pile wall, soldier pile walls, diaphram walls and sheet piles	Soil and ground improvement works, slope stabilisation and protection works

Pintaras Jaya Berhad	• Provides geotechnical works such as ground improvement and earth works • Provides piling works such as cast-in-place bored piles, driven piles, jacked-in piles, micropiles and hand-dug caissons • Provides earth retaining systems works such as diaphragm walls, contiguous bored pile walls, steel sheet piled walls, soldier pile and timber lagging walls, reinforced soil retaining walls, precast segmental earth retaining walls, ground anchors and steel strutting, soil nailing and guniting • Provides substructure and basement works such as basement wall, basement slabs, ground beams, and pile caps • Provides civil engineering and building works	Ground improvement works
Vestland Berhad	• Provides geotechnical works such as slope stabilisation works • Provides earthworks such as site clearance, excavation, backfilling, compacting earth and rock hacking works • Provides design and build construction works	Slope stabilisation works
MGB Berhad	• Provides foundation and geotechnical works such as bored piles, retaining walls and structures, and various type of soil improvement works • Provides design and build construction works for high rise and landed properties, townships, mixed developments, institutional and infrastructure development • Involvement in property development activities and manufacturing of industrialised building system (IBS)	Soil improvement works

Sources: Various company websites, SMITH ZANDER

Market Share

In 2024, the geotechnical solutions industry size in Malaysia, was recorded at RM3.30 billion. Fibromat Group captured a market share of 1.11% in 2024, based on its revenue contribution of RM36.76 million (excluding the manufacturing and trading segments of the Group) for the FYE 31 December 2024.



Sources: DOSM, Fibromat Group, SMITH ZANDER

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9. RISK FACTORS

9.1 RISKS RELATING TO OUR BUSINESS AND OUR OPERATIONS

9.1.1 We are subject to regulatory requirements to operate our business

We are required to maintain and regularly renew various licences, permits and approvals issued by various governmental authorities and regulatory agencies, and these licences, permits and approvals are essential for the conduct of our business and operations. Further details of our licences, approvals and permits are set out in Section 6.7.

As at LPD, we have obtained all the relevant licences, permits and approvals to undertake our business operations. We are required to comply with the restrictions and conditions imposed by the relevant authorities for us to maintain the validity of such licences, permits and approvals. If we are unable to comply with the applicable requirements or required conditions of our licences, approvals and permits, such licences, approvals and permits may be suspended or revoked and this will negatively affect our business operations. There is no assurance that the introduction of any new laws or any changes to these legislations or other future regulatory developments will not have a material adverse effect on our maintenance or renewal of licences, approvals and permits. Any failure to maintain or renew our major licences, permits and approvals in the future could materially and adversely affect our business operations and financial performance.

We have not experienced any incidences for FYE 2021 to 2024 up to LPD where our licences, permits and approvals have been revoked or suspended prior to their expiration, or where renewals of such approvals, licences and permits were not successful.

9.1.2 We are dependent on our management team for the continued success and growth of our business

Our Group's continued success, future business growth and expansion are, to a significant extent, dependent on our management team's experience, expertise and continuous efforts. Our Executive Directors and key senior management have been actively involved in our Group's operations, and their long service, in-depth knowledge on all aspects of our Group's operations, as well as their experience in the geotechnical solutions industry is crucial to the business continuity and future growth of our Group. Please refer to Sections 5.1.2, 5.2.2 and 5.3.3 for further details on the profiles of our Executive Directors and key senior management.

Any loss of our Executive Directors and/ or key senior management simultaneously or within a short time span without suitable and timely replacement, or our inability to attract and retain qualified and competent personnel or to integrate new personnel, could adversely affect the business operations, financial performance and the future growth of our Group. For FYE 2021 to 2024 and up to LPD, we have not encountered any unexpected incidence of loss of personnel from our management team simultaneously or within a short period of time. However, there can be no assurance that such incidences may not occur in the future and that we will be able to find a suitable replacement in a timely manner, which may in turn have a material adverse impact on our operations, financial performance and the future growth of our Group.

9. RISK FACTORS *(Cont'd)*

9.1.3 The absence of long-term contracts may result in the fluctuation of our Group's performance

Our Group's sales are derived based on purchase orders and contracts whereby customers will purchase our products on an as-needed basis, or purchase our services on a project-to-project basis. As such, we do not enter into any long-term contracts with our customers. The absence of long-term contracts is an industry practice due to the nature of our business and the prevailing customer practices where the demand for our products is subject to our customers' needs as and when required.

The project-based nature of our design and installation of geotechnical solutions business, as well as the absence of long-term contracts for the sale of our geosynthetics and erosion control products may result in fluctuations in our Group's sales and overall financial performance. While we continuously seek to maintain and strengthen existing business relationships and establish relationships with new customers to expand our customer base, any adverse economic conditions, or slowdowns in the infrastructure construction industry, may negatively impact our sales, which will subsequently result in a decline in our financial performance. In addition, as we do not enter into any long-term contracts with our suppliers and subcontractors, there is no assurance that they will be able to continuously provide materials and services to our Group at commercially viable prices or that we can maintain our relationship with them in the future. In the event that any of our major suppliers or subcontractors are unable to provide the required materials and/ or services to our Group, there is no assurance that we will be able to source the required materials and/ or services from other suppliers or subcontractors in a timely manner or at commercially viable prices. Consequently, our business operations and profitability may be adversely affected.

For FYE 2021 to 2024, we have not encountered any adverse fluctuations in our financial performance due to the absence of long-term contracts. Nevertheless, there is no assurance that we will be able to consistently secure sufficient sales from existing customers or new customers which may have an adverse effect on our financial performance.

9.1.4 We are exposed to project management risk for our projects

For FYE 2021 to 2024, revenue from our design and installation of geotechnical solutions segment contributed 40.0%, 39.2%, 50.0% and 48.7% to our Group's total revenue respectively, in which the activities are conducted on project-to-project basis. As such, any material under-estimation of project costs, unanticipated cost overruns and/ or prolonged delays in the implementation of projects may adversely affect our operating cash flow and financial performance. For FYE 2021 to 2024, our Group had not encountered incidences that resulted in material delays in the completion of our projects which had materially and adversely impacted our financial performance.

In addition, we also engage third-party subcontractors to carry out installation works. Subcontractors are appointed following the shortlisting of candidates based on, amongst others, project requirements, assessment of tenders submitted by the subcontractors, track record, as well as our past working experience with the subcontractors. For FYE 2021 to 2024, our subcontractor costs accounted for 13.3%, 15.8%, 29.1% and 24.6% of our Group's total purchases respectively. Any failure of our subcontractors to fulfil their contractual obligations may lead to damages and penalties against our Group if we are unable to handover the projects to our customers according to the pre-agreed schedule in the contracts. As such, our projects may experience delays and cost overruns, or poor-quality work attributed to our subcontractors. For FYE 2021 to 2024, we have not encountered incidences where our subcontractors failed to fulfil their contractual obligations which have had a material and adverse impact on our business operations and financial performance.

9. RISK FACTORS *(Cont'd)*

9.1.5 We are exposed to risks arising from defect liability periods

The defect liability periods of our contracts may range from 3 to 24 months from the date of project handover to our customers for our design and installation of geotechnical solutions segment. Any occurrence of product defects and installation defects within the defect liability period will be reflected as a cost to us in the form of repair and/ or replacement costs. For FYE 2021 to 2024, we have not received any major complaints from our customers in relation to product defects and installation defects during the defect liability period which require our Group to incur significant rectification or replacement costs.

In addition, it is an industry practice where a portion of payment may be withheld by customers as retention sum against defects that may develop after the completion of projects. The retention sum of 5.0% of the total contract value, if any, will be released to us after the expiry of the defect liability period as indicated in the contracts. If our customers do not release the retention sum after the expiry of the agreed defect liability period or require us to write off such amounts, our financial performance may be adversely affected. For FYE 2021 to 2024, we have not encountered any incidences where our customers fail to release the retention sum to our Group upon the expiry of the defect liability period.

9.1.6 Our intellectual property rights may be infringed and/ or we may inadvertently infringe on third party's intellectual property rights

We have registered with MyIPO, a patent for our invention under the title "erosion protection and soil enhancement hybrid geotextile" which is valid from 3 May 2016 to 3 May 2036. However, such patent may not be adequate to safeguard our invention as our competitors may be able to design around our patent, enhance or develop products that provide outcomes comparable or superior to ours. Further, in the event any competitor infringes upon our patent or other intellectual property rights, enforcing those rights may be complex since burden of proof lies with the owner and it is time consuming. Further, it could be costly and may divert our management's attention to focus on our business and operation in defending the legal action.

Separately, we are also subject to the possibilities of inadvertently infringing intellectual property rights of a third party(ies) in particular for products that we source from our suppliers. This would result in the risk of third party(ies) taking legal action against us. In the event that a third party has successfully established that we have infringed their intellectual property, we may suffer significant loss of profit and/ or litigation costs. We may also be exposed to other risks such as adverse reputation and/ or being prevented from selling any of our applications which may impact our range of product offerings and financial performance.

We have encountered an allegation of infringing a third party's intellectual property rights in 2024 in relation to a product which we have sourced and purchased from a supplier. Please refer to Section 6.10(i) for further details. Save as disclosed in Section 6.10(i), we are not aware of any other allegation of infringement by our Group of any third parties' intellectual property rights as at LPD.

9. RISK FACTORS *(Cont'd)*

9.1.7 We may be involved in legal and other proceedings arising from our operations from time to time

We may, from time to time, be involved in disputes with various parties such as suppliers, main contractors, subcontractors, consultants and/ or project owners in the course of carrying out our business. Costs, time and management resources would have to be diverted towards defending such claims should they arise. Such disputes and claims may lead to legal and other proceedings, administrative proceedings against our Group, and unfavourable decrees issued against our Group may cause us to suffer additional costs, delays and/ or financial losses. For FYE 2021 to 2024, we were not involved in any disputes, legal proceedings or litigation cases, save for the alleged patent and copyright infringement as set out in Section 6.10(i).

Nevertheless, there is no assurance that whenever disputes and claims arise, they will be settled on terms which are favourable to our Group or if such disputes and claims result in litigation or arbitration, such judgment, order or award will not adversely affect our business operations, financial performance and reputation.

9.1.8 We are subject to the availability of materials and supplies

As we carry a wide range of products, our business operations is contingent on the availability of materials and supplies such as geogrids, woven geotextiles, non-woven geotextiles, recycled resins, PET spunbonds, nettings, fibres and gabion mattresses. For FYE 2021 to 2024, our purchase of materials and supplies accounted for 84.8%, 82.7%, 70.1% and 74.3% of our Group's total purchases respectively. Our materials and supplies are primarily derived from synthetic materials and natural materials which are readily available. As such, our materials and supplies can be readily sourced locally and overseas as there are many alternative suppliers available in the market.

In the event that we are unable to obtain our materials or supplies in timely manner, our business operations may be adversely affected where we may not be able to carry out our manufacturing activities, supply products to customers, or to commence installation works at project sites. Consequently, this may adversely affect our financial performance. Further, any delays in the handover of projects to our customers may result in our customers imposing late penalty claims against our Group.

For FYE 2021 to 2024, we have not encountered any material disruptions or shortages in the procurement of our materials and supplies which had adversely affected our business operations. Nevertheless, there is no assurance that any shortages or disruptions in supplies will not occur in the future, and that we will be able to source our materials and supplies from alternative suppliers in a timely manner.

9. RISK FACTORS *(Cont'd)*

9.1.9 We are exposed to foreign exchange rate fluctuation risks which may impact the profitability of our Group

We are exposed to foreign exchange fluctuation risk arising from our exposure to export sales and overseas purchases. Revenue generated from our foreign sales are denominated in SGD and USD which collectively contributed 5.1%, 3.7%, 3.5% and 3.7% to our Group's total revenue for FYE 2021 to 2024 respectively. Further, some of our supplies are sourced from overseas suppliers in which the purchases are denominated in USD, RMB, EUR, SGD and AUD. For FYE 2021 to 2024, our purchases which are denominated in foreign currencies accounted for 47.3%, 40.4%, 42.7% and 35.8% of our Group's total purchases respectively.

For FYE 2021 to 2024, the breakdown of our revenue and purchases by currency are as follows:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Revenue denominated in:								
RM	43,453	94.9	46,178	96.3	65,940	96.5	72,639	96.3
SGD	1,073	2.3	1,211	2.5	1,715	2.5	2,355	3.1
USD	1,261	2.8	564	1.2	645	1.0	469	0.6
Total	**45,787**	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**
Purchases denominated in:								
RM	15,180	52.7	18,786	59.6	26,723	57.3	29,777	64.2
USD	12,521	43.5	8,948	28.4	7,216	15.5	7,780	16.8
RMB	-	-	2,406	7.6	12,337	26.5	8,345	18.0
EUR	1,092	3.8	1,388	4.4	-	-	-	-
AUD	-	-	-	-	-	-	418	0.9
SGD	14	<0.1	17	<0.1	330	0.7	44	0.1
Total	**28,807**	**100.0**	**31,545**	**100.0**	**46,606**	**100.0**	**46,364**	**100.0**

As such, we are exposed to fluctuations of the USD, RMB, EUR, SGD and AUD, and any unfavourable fluctuations in foreign exchange rates may have an adverse impact on our financial performance and profitability. Any significant appreciation or depreciation of the RM against the USD, RMB, EUR, SGD and/ or AUD may either positively or negatively affect our Group's financial performance. In circumstances where the USD, RMB, EUR, SGD and/ or AUD significantly appreciate against the RM, we will record higher revenue and/ or higher purchases in RM after conversion. Conversely, in circumstances where the USD, RMB, EUR, SGD and/ or AUD significantly depreciates against the RM, we will record lower revenue and/ or lower purchases in RM after conversion. The positive or negative effect on our Group's financial performance is subject to our position after netting off the amount of sales and purchases recorded in the respective financial years. In the event that we are unable to pass on the increase in cost to our customers in a timely manner, our financial performance may be adversely affected.

For FYE 2021 to 2024, our Group did not enter into any financial instruments to hedge our exposure against any foreign exchange fluctuations, and we have not been materially impacted by any foreign exchange fluctuations. Please refer to Section 12.11(a) for further details on the impact of foreign exchange fluctuations on our Group's financial performance.

9. RISK FACTORS *(Cont'd)*

9.1.10 We may be subject to credit risk and default in payment by our customers

Generally, the credit terms granted to our customers range from 14 to 90 days from the date of invoice. Our customers have varying degrees of credit risk profiles which exposes us to the risk of default in payment by them. In the event that our customers default on their payments, our operating cash flows, financial condition and results of operations could be adversely affected.

We require our customers to either make prepayment upon issuance of purchase order/ LOA, or provide letter of credit to us as payment commitment. For FYE 2024, approximately 54.1% of our sales were transacted on credit terms. Please refer to Section 12.8.1 for further details on the ageing analysis of our trade receivables.

Any default or delay in our collection of trade receivables which leads to impairment losses on trade receivables may have an adverse impact on our financial performance. Our impairment loss on trade receivables for FYE 2021 to 2024 are as follows:

	FYE 2021	FYE 2022	FYE 2023	FYE 2024
	RM'000	RM'000	RM'000	RM'000
Impairment losses on trade receivables	578	77	376	366

Please refer to Section 12.8.1 for further details on our impairment loss on trade receivables.

For FYE 2021 to 2024, there were no trade receivables that were written off as bad debts. Nevertheless, there can be no assurance that any delay or failure in receiving payments from our customers in the future may not result in trade receivables being written off as bad debts, which could adversely impact our financial performance.

9.1.11 We may not be able to secure funding, especially on terms favourable to us, to meet our capital requirement

Our ability to obtain external financing are subject to various uncertainties including, but not limited to, our future results of operations, financial condition and cash flows, the conditions of the economy where we operate and the markets for our products, the cost of financing and the condition of financial markets, and the continuing willingness of banks to provide new loans.

If adequate funding is not available when needed, or is available only on unfavourable terms, meeting our capital needs or otherwise taking advantage of business opportunities or responding to competitive pressures may become challenging, which could have an adverse impact on our business, financial condition and results of operations. For FYE 2021 to 2024, we have not encountered any incidence of not being able to secure funding on terms favourable to us to meet our capital requirement. However, there can be no assurance that any required financing, either on a short-term or long-term basis, will be made available to us on terms favourable to us or at all, in the future.

9. RISK FACTORS *(Cont'd)*

9.1.12 Our business is exposed to interruptions or delays caused by outbreak of infectious diseases, unexpected equipment failures, electricity disruption, fire as well as natural disasters

We rely on a diverse range of machinery and equipment to manufacture our geosynthetics and erosion control products. These machinery and equipment may, on occasion be out of service due to unanticipated failures or damages sustained during operations. In addition, as our manufacturing activities are dependent on continuous supply of electricity, any major disruptions to the supply of electricity may result in interruptions in our operations at our Rasa Factory.

The occurrence of natural disasters (e.g. floods) and damages caused by fires may also cause interruptions to our operations. The occurrence of these unexpected events that are beyond our control may cause damage or destruction to all or part of our inventory as well as our machinery and equipment. Any material damages to our inventory, machinery and equipment may result in our Group incurring significant costs for repair, refurbishment and/ or replacement, which may adversely impact our financial performance. Further, any prolonged interruptions to our manufacturing activities would consequently affect our ability to fulfil our sales orders, thus causing delivery delays to our customers. This could adversely impact our relationship with customers and reputation in the industry.

For FYE 2021 to 2024 and up to LPD, we have not encountered any incidents of unanticipated machinery and equipment failures or material damages to our inventory and facilities which had led to unanticipated downtime or prolonged disruption to our operations. However, there can be no assurance that such incidences will not occur in the future. In the event that we are required to halt our operations due to the abovementioned incidents, we will still be required to incur operating expenses such as labour costs and utility costs. As such, our Group's financial performance may be adversely affected should the interruptions occur for a prolonged period of time.

Further, any large-scale outbreak of infectious diseases or other health epidemics (e.g. COVID-19 pandemic) may create economic uncertainties globally, which may adversely affect business activities. The outbreak of infectious diseases may also result in the imposition of lockdown measures and accompanying standard operating procedures to curb the spread of the virus, leading to disruptions and/ or temporary suspension of business activities. In the event that our business activities are affected by the outbreak of infectious diseases, our financial performance may be adversely affected.

9.1.13 We are exposed to the risk of workplace health and safety hazards

Our business operations are subject to laws and regulations relating to workplace health and safety requirements enacted or issued by government bodies. The primary legislation, regulations and industry code of practice applicable to our workplace health and safety practices are such as the Occupational Safety and Health Act 1994. Please refer to Section 6.10 for further details on the legislation, regulations and industry code of practice applicable to our workplace health and safety practices.

As our manufacturing activities involve the use of machinery for cutting, stitching, attaching and extrusion, as well as equipment such as forklifts to move raw materials and finished products from one location to another, any improper handling of these machinery and equipment may jeopardise the safety of our workers. Further, as we carry out installation works, any improper safety practices may result in accidents at construction sites which may cause serious injuries to our workers or even fatalities. For FYE 2021 to 2024, there were no major workplace accidents that have resulted in serious injuries or fatalities, as well as any penalties imposed or notices issued by the relevant workplace health and safety authorities to our Group.

9. RISK FACTORS *(Cont'd)*

9.1.14 Our insurance coverage may not be adequate to cover all losses or liabilities that may arise in connection with our operations

We maintain insurance to protect against various losses and liabilities. As at LPD, the insurance policies maintained by our Group include static all risk insurance, contractors' all risk insurance (by project), public liability insurance, fire insurance, fidelity guarantee insurance and workmen's compensation insurance (by project).

For FYE 2021 to 2024 and up to LPD, we have not encountered any incidence for which our insurance coverage is insufficient to cover the damages, losses and liabilities incurred which resulted in material adverse impact on our financial performance. However, there can be no assurance that the insurance coverage will be adequate in all circumstances to cover the losses, damages or liabilities arising from our operations which we may incur, or that we will be able to successfully claim our losses under our current insurance policies on a timely basis, or at all. Moreover, we are subject to the risk that, in future, we may not be able to maintain or obtain insurance of the type and amount we desire at reasonable rates. If we were to incur a significant loss or liability for which we were not fully insured, the additional cost incurred by our Group may adversely affect our financial performance.

9.2 RISKS RELATING TO OUR INDUSTRY IN WHICH OUR GROUP OPERATES

9.2.1 We are exposed to competition within the geotechnical solutions industry

According to the IMR Report, geotechnical solutions industry in Malaysia comprises pure-play and diversified industry players. Industry players providing geotechnical solutions may also be involved in the manufacturing of certain geosynthetics and erosion control products whereby these industry players may apply the products in their projects, or sell it to other geotechnical engineering firms, contractors and subcontractors for project application, or to geosynthetics and erosion control products suppliers (i.e. trading companies). Our Group competes with existing and new industry players in terms of the range of product offerings, pricing, quality of products and timeliness of delivery.

Failure to remain competitive in the industry may lead to reduced sales, as well as to attract new customers, which will adversely impact our Group's financial performance. Whilst we strive to remain competitive, there can be no assurance that any changes in the competitive environment would not have any material and adverse impact on our business and financial performance.

9.2.2 The growth of our Group is dependent on the growth of the infrastructure construction industry

The growth of our Group is highly correlated to the growth of the infrastructure construction industry, which is primarily dependent on public sector spending as infrastructure is constructed and upgraded to drive economic development of the country as well as for the well-being of the nation.

According to the IMR Report, the geotechnical solutions industry is particularly impacted by infrastructure development as infrastructure construction activities require substantial use of geotechnical solutions. Infrastructure construction activities is represented by the civil engineering sub-sector as civil engineering works encompass construction activities for roads, railways, bridges, tunnels, reservoirs, irrigation systems, sewer systems, waterways, harbour and river works, pleasure ports (marinas), locks, dams and dykes, and dredging of waterways, amongst others. These activities generally require geotechnical solutions to manage and address challenges related to the performance of soil prior to construction in order to ensure the stability and integrity of soil, and consequently the safety of infrastructure built on it. As

9. RISK FACTORS *(Cont'd)*

such, the growth of the civil engineering sub-sector will be the main driver for the geotechnical solutions industry.

Hence, continued public spending by the Government on infrastructure projects to support national development and progress will drive the growth of the civil engineering sub-sector which, in turn, is expected to drive the demand for geotechnical solutions.

Any political uncertainties or changes in government policies may adversely affect public spending whereby the government may review major infrastructure projects in terms of benefits and cost-effectiveness for the nation as a whole, or may reduce spending on infrastructure development. Consequently, this may adversely affect the infrastructure construction industry and subsequently the geotechnical solutions industry. Hence, the business prospects and growth of our Group may also be affected should there be a decline in the growth of the overall infrastructure construction industry. For FYE 2021 to 2024, our Group had not encountered any incidences where the changes in government policies had resulted in material adverse impact on our Group's business operations and financial performance.

9.2.3 We are exposed to the threat of substitutes for our geosynthetics and erosion control products

There are different types of substitutes for geosynthetics and erosion control products, which are available in different forms and types of materials and engineering systems. Graded sands, gravels or other types of materials and in some cases, different engineering systems or methods may all be used as substitutes to our products and services. Some examples include:

(a) for soil consolidation, vibro compaction may be used instead of PVD;

(b) for slope stabilisation, reinforced concrete wall or retaining earth wall may be used instead of omega retaining wall/ MSE gabion wall/ geogrid wall;

(c) for a variety of situations, concrete structures, stone columns and sand columns may be used instead of geotextiles and geogrids;

(d) for road construction, a thicker layer of sub-grade may be used instead of geotextiles to provide a stronger road base and an even distribution of load;

(e) for slope surface erosion control, guniting and soil nailing may be used instead of fibrocell or erosion control blanket;

(f) for river bank protection, reinforced concrete wall or steel sheet pile may be used instead of geobag; and

(g) for sanitary landfill, a thicker layer of impermeable clay may be used instead of HDPE geomembrane or geosynthetic clay liners to prevent seepage.

Some of the substitutes for our geosynthetics and erosion control products may be more economical and/ or have lower operational cost, thus making the substitute products more attractive to customers. This may lead to increased pressure on our Group to maintain competitiveness whereby we may need to lower the prices of our products, which may consequently adversely affect our profitability.

9. RISK FACTORS *(Cont'd)*

9.2.4 We are subject to risks relating to the political, economic, regulatory and social developments in Malaysia as well as the markets which we serve

Our business, prospects, financial condition and results of operations may be affected by political, economic, regulatory and social developments that are beyond our control in Malaysia, as well as the countries where our products are exported. The developments that may influence consumer confidence and spending include, but are not limited to, changes in political leadership, terrorism, riots, expropriation, nationalisation, unemployment trends, deterioration of international bilateral relationships, imposition of international trade sanctions, as well as changes in fiscal and monetary policies of the Government such as inflation, deflation, methods of taxation, tax policies (including sales and services tax, excise, duties and tariffs), currency exchange controls and repatriation of profits. Further, our Group could also be affected by new laws, regulations and guidelines that are introduced to govern our business activities whether in general or specific to the geotechnical solutions industry.

Any unfavourable changes or adverse developments in one or more of the abovementioned developments and/ or conditions may have a material adverse effect on our business operations and financial performance.

9.3 RISKS RELATING TO THE INVESTMENT IN OUR SHARES

9.3.1 There is no prior active market for our Shares

As at LPD, we are listed on the LEAP Market and upon completion of our Transfer of Listing, the entire issued share capital of our Company will be transferred from the LEAP Market to the ACE Market. Currently, the trading of our Shares is only restricted to sophisticated investors (i.e. any person who is specified as a sophisticated investor in the SC's Guidelines on Categories of Sophisticated Investors).

The listing of and quotation for our Shares on the ACE Market does not guarantee that an active market for the trading of our Shares will develop, or if developed, such market can be sustained. There is also no assurance as to the liquidity of any market that may develop for our Shares, the ability of holders to sell our Shares or the prices at which holders would be able to sell our Shares.

In addition, there can be no assurance that our IPO price will correspond to the price at which our Shares will be traded on the ACE Market, upon or subsequent to our Listing, and the market price of our Shares will not decline below the IPO Price.

9.3.2 There may be a potential delay to or cancellation of our Transfer of Listing

Our Transfer of Listing may be aborted or delayed due to possible occurrences of certain events, which include, amongst others, the following:

(a) the selected investors fail to subscribe for the portions of our IPO Shares;

(b) our Underwriter exercises its rights under the Underwriting Agreement to discharge itself from its obligations therein;

(c) we are unable to meet the minimum public shareholding spread requirement under the AMLR, whereby at least 25.0% of our total number of Shares for which our Listing is sought must be held by a minimum number of 200 public shareholders each holding not less than 100 Shares at the point of our Listing; and/ or

(d) the revocation of the approvals from the relevant authorities for our Transfer of Listing for whatever reason.

9. RISK FACTORS *(Cont'd)*

If any of these events occur, investors will not receive any Shares and we will return in full without interest, all monies paid in respect of the Application within 14 days, failing which the provisions of Section 243(2) of the CMSA shall apply. Our Company shall be liable to return such monies with interest at the rate of 10.0% per annum or at such other rate as may be specified by the SC upon expiration of that period until the full refund is made.

If our Listing is aborted and/ or terminated, and our Shares have been allotted to the investors, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under Sections 116 or 117 of the Act and its related rules. Such cancellation requires the approval of shareholders by special resolution in a general meeting, with sanction of the High Court of Malaya or with notice to be sent to the Director General of the Inland Revenue Board and ROC within 7 days of the date of the special resolution, and us meeting the solvency requirements under Section 117(3) of the Act. There can be no assurance that such monies can be recovered within a short period of time in such circumstances.

Nonetheless, our Board will endeavor to comply with the various regulatory requirements, including, inter alia, public shareholding spread requirements for our Listing. However, there can be no assurance that the abovementioned factors/ events will not cause a delay in or non-implementation of our Listing.

9.3.3 The trading and performance of our Shares following our Listing is subject to fluctuations

Upon completion of our Listing, the trading price of our Shares could be subject to significant fluctuation due to factors specific to our Group or industry in which our Group is operating. Some factors may not be within our control and are unrelated or disproportionate to our financial results. These factors may include, amongst others, variations in the results of our operations, changes in analyst's recommendations or projections, changes in general market conditions and broad market fluctuations.

The performance of the stock market is also affected by the external factors such as the performance of the regional and world bourses, inflow or outflow of foreign funds, economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes witnessed on the stock market, thus adding risks to the market price of our Shares.

9.4 OTHER RISKS

9.4.1 Our Promoters will be able to exercise significant control over our Company

Upon Listing, our Promoters will collectively hold approximately 65.0% of our enlarged number of issued Shares. As a result, they will be able to effectively control the business direction and management of our Group and as such there can be no assurance that the interests of our Promoters will be aligned with those of our other shareholders. The interests of our Promoters may differ from the interests of our other shareholders and they may be able to exercise significant influence over the vote of our Shares. Our Promoters could also have significant influence in determining the outcome of any corporate transactions or other matters submitted to our shareholders for approval. This includes the election of Directors, approval of business ventures and having substantial voting control over our Group. As such, our Promoters will have a deciding vote on the outcome of any ordinary resolution (which requires a simple majority of 50.0% plus 1 voting share) to be tabled at general meeting, unless they are required to abstain from voting by law, relevant guidelines or regulations.

10. RELATED PARTY TRANSACTIONS

10.1 RELATED PARTY TRANSACTIONS

There were no transactions, existing and/ or potential, entered or to be entered into by our Group which involve the interests, direct or indirect, of our related parties which are material to our Group during FYE 2021 to 2024 and up to LPD.

Moving forward, in order to ensure that related party transactions are undertaken on arm's length basis and on normal commercial terms, we have established the following procedures:

(a) Recurrent related party transactions

(i) at least 2 other contemporaneous transactions with third parties for similar products and/ or quantities will be used as comparison, wherever possible, to determine if the price and terms offered by related parties are fair and reasonable and comparable to those offered by other third parties for the same or substantially similar type of products/ services and/ or quantities; or

(ii) if quotation or comparative pricing from third parties cannot be obtained, the transaction price will be determined by our Group based on those offered by other third parties for substantially similar type of transaction to ensure that the recurrent related party transactions are not detrimental to us.

Our Board shall seek mandate from shareholders to enter into any recurrent related party transactions at a general meeting. Due to its time-sensitive nature, the shareholders' mandate will enable us to enter into such recurrent transactions which are transacted in our ordinary course of business without having to convene numerous general meetings to approve such recurrent transactions as and when they are entered into.

(b) Other related party transactions

(i) whether the terms of the related party transaction are fair and on arm's length basis to our Group and would apply on the same basis if the transaction did not involve a related party;

(ii) the rationale for our Group to enter into the related party transaction and the nature of alternative transactions, if any; and

(iii) whether the related party transaction would present a conflict of interest between our Group and the related parties, taking into account the size of the transaction and the nature of the related parties' interest in the transaction.

Where required under the AMLR, a related party transaction may require prior approval of shareholders at a general meeting to be convened. An independent adviser may be appointed to comment as to whether the related party transaction is fair and reasonable so far as the shareholders are concerned; and whether the transaction is to the detriment of minority shareholders. In such instances, the independent adviser shall also advise minority shareholders on whether they should vote in favour of the transaction.

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

For related party transactions that require shareholders' approval, our Directors, major shareholders and/ or persons connected with such Director or major shareholder, which have any interest, direct or indirect, in the proposed related party transaction will abstain from voting in respect of their direct and/ or indirect shareholdings. Where a person connected with a Director or major shareholder has interest, direct or indirect, in any proposed related party transactions, the Director or major shareholder concerned will also abstain from voting in respect of his direct and/ or indirect shareholdings. Such interested Directors and/ or major shareholders will also undertake that he shall ensure that the persons connected with him will abstain from voting on the resolution approving the proposed related party transaction at the general meeting. The relevant directors who are deemed interested or conflicted in such transactions shall also abstain from our Board deliberations and voting on the Board resolutions relating to these transactions.

In addition, to safeguard the interest of our Group and our minority shareholders, and to mitigate any potential conflict of interest situation, our Audit and Risk Management Committee will, amongst others, supervise and monitor any related party transaction and the terms thereof and report to our Board for further action. If a member of our Audit and Risk Management Committee has an interest in any related party transaction, he is to abstain from participating in the review and approval process in relation to that transaction. Where necessary, our Board would make appropriate disclosures in our annual report with regard to any related party transaction entered into by us.

10.2 OTHER TRANSACTIONS

10.2.1 Transactions entered into that are unusual in their nature or conditions

There were no transactions that were unusual in their nature or conditions, involving goods, services, tangible or intangible assets, to which our Group was a party for FYE 2021 to 2024, and up to LPD.

10.2.2 Outstanding loans (including guarantees of any kind)

(a) Outstanding loans and/ or balances

As at LPD, there are no outstanding loans made by our Group to/ for the benefit of any related parties or granted by any related parties for the benefit of our Group.

(b) Guarantees

As at LPD, the following individuals have jointly and severally provided personal guarantees for banking and/ or hire purchase facilities extended by the following financial institutions ("**Financiers**"):

Financiers	Type of facilities	Outstanding balance as at LPD	Facility limit	Guarantor(s)
		RM'000	RM'000	
AmBank (M) Berhad	Multi-trade financing facility and 8 term loans	7,094	20,123	• Ng Kian Boon • Mohd Tarmin Bin Sidek • Ng Chun Hou
AmBank (M) Berhad	2 hire purchase facilities	172	967	• Ng Kian Boon • Mohd Tarmin Bin Sidek • Ng Chun Hou

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

Financiers	Type of facilities	Outstanding balance as at LPD	Facility limit	Guarantor(s)
		RM'000	RM'000	
Hong Leong Bank Berhad	Overdraft facility and combined trade facility	1,090	5,000	• Ng Kian Boon • Mohd Tarmin Bin Sidek • Ng Chun Hou
Orix Credit Malaysia Sdn Bhd	5 hire purchase facilities	327	558	• Ng Kian Boon • Mohd Tarmim bin Sidek
Public Bank Berhad	7 hire purchase facilities	585	981	Ng Kian Boon
Affin Bank Berhad	Hire purchase facility	252	392	Ng Kian Boon
		9,520	**28,021**	

In conjunction with our Listing and as at LPD, we have received conditional approvals from all of our Financiers, namely Ambank (M) Berhad, Hong Leong Bank Berhad, Orix Credit Malaysia Sdn Bhd, Public Bank Berhad and Affin Bank Berhad, to discharge the personal guarantees above subject to the success of our Listing, by substituting the same with a corporate guarantee from our Company and/ or other securities from our Group acceptable to the Financiers.

(c) Financial assistance

As at LPD, there is no financial assistance provided by us for the benefit of any related parties or granted by any related parties for the benefit of our Group.

10.2.3 Transactions entered into with M&A Securities

Save as disclosed below, we have not entered into any transactions with M&A Securities who is the Adviser, Sponsor, Underwriter and Placement Agent for our Transfer of Listing:

(a) Agreement entered into between our Company and M&A Securities for the appointment of M&A Securities as Adviser, Sponsor and Placement Agent for our Transfer of Listing; and

(b) Underwriting Agreement entered into between our Company and M&A Securities for the underwriting of 18,621,000 Issue Shares.

11. CONFLICT OF INTEREST

11.1 INTEREST IN SIMILAR BUSINESS AND IN BUSINESSES OF OUR CUSTOMERS AND SUPPLIERS

As at LPD, none of our Directors and substantial shareholder has any interest, direct or indirect, in any businesses or corporations:

(a) which is carrying on a similar trade as our Group; or

(b) which is a customer and/or supplier of our Group.

It is our Board's fiduciary duty to avoid conflict, and they are required to attend courses which provide them guidelines on their fiduciary duties. In order to mitigate any possible conflict of interest situation in the future, our Directors will declare to our Nominating Committee and our Board their interests in other companies at the onset and as and when there are changes in their respective interests in companies outside our Group. Our Nominating Committee will then first evaluate if such Director's involvement gives rise to an actual or potential conflict of interest with our Group's business after the disclosure provided by such Director. After a determination has been made on whether there is an actual or potential conflict of interest of a Director, our Nominating Committee will then:

(a) immediately inform our Audit and Risk Management Committee and Board of the conflict of interest situation;

(b) after deliberation with our Audit and Risk Management Committee, to make recommendations to our Board to direct the conflicted Director to:

  (i) withdraw from all his executive involvement in our Group in relation to the matter that has given rise to the conflict of interest (in the case where the conflicted Director is an Executive Director); and

  (ii) abstain from all Board deliberation and voting in the matter that has given rise to the conflict of interest.

In relation to (b)(ii) above, the conflicted Director and persons connected to him (if applicable) shall not attend any Board discussion relating to the recommendation of our Nominating Committee and the conflicted Director and persons connected to him (if applicable) shall not vote or in any way attempt to influence the discussion of, or voting on, the matter at issue. The conflicted Director, may, however at the request of the Chairman of our Board, be present at our Board meeting to answer any questions.

In circumstances where a Director is determined to have a significant, ongoing and irreconcilable conflict of interest with our Group, and where such conflict of interest significantly impedes the Director's ability to carry out his fiduciary responsibility to our Group, our Nominating Committee may determine that a resignation of the conflicted Director from our Board is appropriate and necessary.

Where there are related party transactions between our Group with our Directors (or person connected to them) or companies in which our Directors (or person connected to them) have an interest, our Audit and Risk Management Committee will, amongst others, supervise and monitor such related party transaction and the terms thereof and report to our Board for further action. Please refer to Section 10.1 for the procedures to be taken to ensure that related party transactions (if any) are undertaken on arm's length basis.

11. CONFLICT OF INTEREST *(Cont'd)*

11.2 DECLARATIONS OF CONFLICT OF INTEREST BY OUR ADVISERS

(a) M&A Securities has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Adviser, Sponsor, Placement Agent and Underwriter for our Transfer of Listing;

(b) Olivia Lim & Co has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Solicitors for our Transfer of Listing;

(c) Baker Tilly Monteiro Heng PLT has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Auditors and Reporting Accountants for our Transfer of Listing; and

(d) SMITH ZANDER has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as IMR for our Transfer of Listing.

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